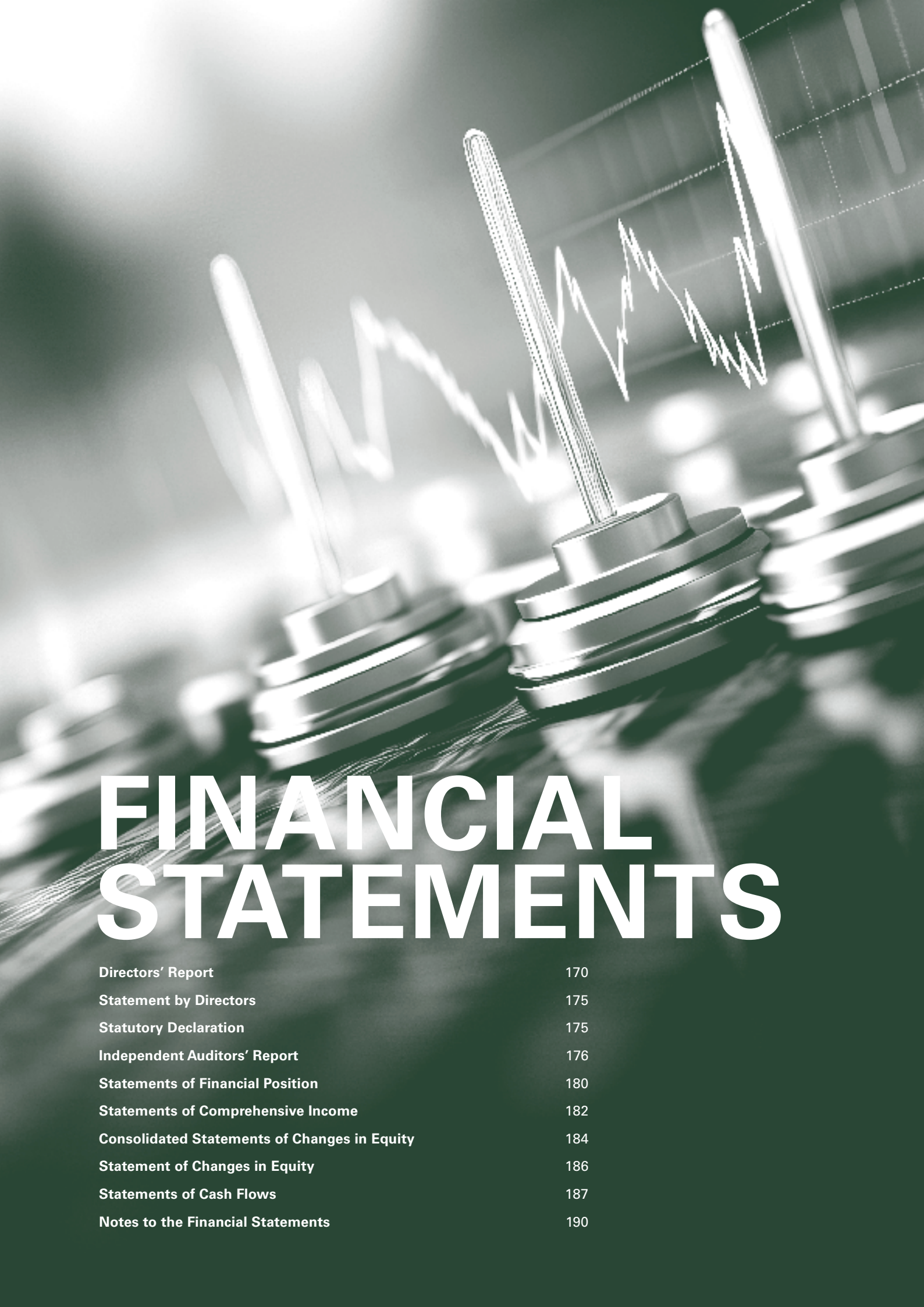




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DIRECTORS' REPORT

The Directors hereby submit their report and the audited financial statements of the Group and of the Company for the financial year ended 31 December 2025.

PRINCIPAL ACTIVITIES

The principal activities of the Company are investment holding and provision of management services to its subsidiaries.

The principal activities of the Group include the engineering, procurement, construction, and commissioning ("EPCC") of renewable and cleaner energy systems and auxiliary facilities. Additionally, the Group supplies steam turbine generator systems, equipment, and spare parts for the palm oil and other agricultural industries, along with comprehensive after-sales services.

The principal activities of the subsidiaries are disclosed in Note 6 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

CONVERSION TO BERHAD STATUS

The Company was incorporated in Malaysia as a private limited liability company on 5 December 2023. On 20 June 2025, the Company was converted to a public limited company and assumed its current name of Wasco Greenenergy Berhad.

FINANCIAL RESULTS

	Group RM'000	Company RM'000
Net profit for the financial year attributable to:		
- Owners of the Company	22,717	7,036
- Non-controlling interests	3,617	-
Net profit for the financial year	26,334	7,036

DIVIDENDS

On 12 February 2026, the Directors declared an interim single tier cash dividend of 2.00 sen per share amounting to RM10,000,000 for the financial year ended 31 December 2025. The dividend entitlement date was on 2 April 2026 and will be paid to the shareholders on 17 April 2026. This dividend will be accounted for in equity as an appropriation of retained earnings in the financial year ended 31 December 2026. The Directors did not declare any dividend in the corresponding prior financial period.

RESERVES AND PROVISIONS

There have been no material transfers to or from reserves and provisions during the financial year.

ISSUE OF SHARES AND DEBENTURES

On 28 October 2025, the Company had issued 14,404,000 new ordinary shares at a price of RM1.34 per ordinary share as the purchase consideration for the acquisition of the remaining 40% equity interest in Wasco Thermal Sdn. Bhd. pursuant to the conditional share sale agreement dated 19 June 2025.

On 28 October 2025, the Company also undertook the Bonus Issue of 295,596,000 new shares to the existing shareholders. The basis for the issuance of 295,596,000 Bonus Shares is to increase the number of issued shares in the Company to 425,000,000 shares to facilitate the Initial Public Offering ("IPO"). The Bonus Issue was implemented without capitalising the retained earnings or reserves of the Company and such new shares were issued at nil consideration.

On 11 December 2025, the Company undertook a public issuance of 75,000,000 new ordinary shares in conjunction with the IPO of the Company at an issue price of RM1.00 per ordinary share. The new ordinary shares issued ranked pari passu in all respects with the existing ordinary shares of the Company.

The Company did not issue any debentures during the financial year.

DIRECTORS

The Directors in office during the financial year and during the period from the end of the financial year to the date of this report are:

Ramanathan A/L P.R. Singaram

Halim Bin Haji Din

Ng Ing Peng

Roslina Binti Abdul Rahman

Lee Yee Chong

(Appointed on 17.06.2025)

(Appointed on 17.06.2025)

(Appointed on 17.06.2025)

(Resigned on 18.06.2025)

The names of Directors of subsidiaries are set out in the respective subsidiaries' statutory accounts and the said information is deemed incorporated herein by such reference and made part thereof.

DIRECTORS' REPORT

DIRECTORS' INTERESTS IN SHARES AND DEBENTURES

According to the Register of Directors' Shareholdings required to be kept under Section 59 of the Companies Act 2016, none of the Directors who held office at the end of the financial year held any shares or debentures in the Company or its subsidiaries or its holding company or subsidiaries of the holding company during the financial year except as follows:

	Number of ordinary shares			
	As at 1.1.2025	Acquired	Disposed	As at 31.12.2025
<u>The Company</u>				
Ramanathan A/L P.R. Singaram				
- Direct interest	-	254,000	-	254,000
Halim Bin Haji Din				
- Direct interest	-	100,000	-	100,000
Ng Ing Peng				
- Direct interest	-	100,000	-	100,000
Roslina Binti Abdul Rahman				
- Direct interest	-	150,000	-	150,000
<u>Holding company</u>				
<u>Wasco Berhad</u>				
Ramanathan A/L P.R. Singaram				
- Direct interest	115,730	40,000	-	155,730

DIRECTORS' REMUNERATION

	Group and Company
	2025 RM'000
<u>Executive director</u>	
Wages, salaries and bonus	301
Defined contribution plans	95
	396
<u>Non-executive directors</u>	
Directors' fees	286
Directors' allowances	62
	348
Total Directors' remuneration	744

The estimated monetary value of benefits-in-kind received and receivable for the current financial year by Directors of the Group and the Company is RM8,000.

DIRECTORS' BENEFITS

Since the end of the previous financial period, no Director has received or become entitled to receive a benefit (other than the benefits shown under Directors' Remuneration) by reason of a contract made by the Company or by a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

Neither during or nor at the end of the financial year was the Company or any of its subsidiaries a party to any arrangements whose object was to enable the Directors to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

INDEMNITY GIVEN TO DIRECTORS AND OFFICERS

During the financial year, the indemnity coverage and insurance premium paid for the Directors and officers of the Group and the Company were borne by the holding company, Wasco Berhad.

OTHER STATUTORY INFORMATION

- (a) Before the financial statements of the Group and of the Company were prepared, the Directors took reasonable steps:
 - (i) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate provision had been made for doubtful debts; and
 - (ii) to ensure that any current assets, which were unlikely to be realised in the ordinary course of business including the values of current assets as shown in the accounting records of the Group and of the Company had been written down to an amount which the current assets might be expected so to realise.
- (b) At the date of this report, the Directors are not aware of any circumstances:
 - (i) which would render the amounts written off for bad debts or the amount of the provision for doubtful debts inadequate to any substantial extent; or
 - (ii) which would render the values attributed to the current assets in the financial statements of the Group and of the Company misleading; or
 - (iii) which have arisen which would render adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate.
- (c) At the date of this report:
 - (i) there are no charges on the assets of the Group and of the Company which have arisen since the end of the financial year which secures the liability of any other person; and
 - (ii) there are no contingent liabilities in the Group and in the Company which have arisen since the end of the financial year.

DIRECTORS' REPORT**OTHER STATUTORY INFORMATION (CONTINUED)**

- (d) No contingent or other liability of any company in the Group has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year/period which, in the opinion of the Directors, will or may affect the ability of Company and its subsidiaries to meet their obligations when they fall due.
- (e) At the date of this report, the Directors are not aware of any circumstances not otherwise dealt with in this report or the financial statements of the Group and of the Company which would render any amount stated in the respective financial statements misleading.
- (f) In the opinion of the Directors:
 - (i) the results of the operations of the Group and of the Company during the financial year/period were not substantially affected by any item, transaction or event of a material and unusual nature; and
 - (ii) there has not arisen in the interval between the end of the financial year/period and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group or Company for the financial year/period in which this report is made.

SUBSIDIARIES

Details of subsidiaries are set out in Note 6 to the financial statements.

HOLDING COMPANY

The Directors regard Wasco Berhad, a company incorporated in Malaysia and listed on the Main Market of Bursa Malaysia Securities Berhad, as the holding company.

AUDITORS' REMUNERATION

The auditors' remuneration for the statutory audit of the Group and the Company for the financial year ended 31 December 2025 is RM259,000 and RM60,000 and is set out in Note 25 to the financial statements.

AUDITORS

The auditors, PricewaterhouseCoopers PLT (LLP0014401-LCA & AF 1146), have expressed their willingness to accept re-appointment as auditors.

This report was approved by the Board of Directors on 3 April 2026.

Signed on behalf of the Board of Directors:

RAMANATHAN A/L P.R. SINGARAM
DIRECTOR

NG ING PENG
DIRECTOR

Kuala Lumpur

STATEMENT BY DIRECTORS PURSUANT TO SECTION 251(2) OF THE COMPANIES ACT 2016

We, Ramanathan A/L P.R. Singaram and Ng Ing Peng, two of the Directors of Wasco Greenergy Berhad, do hereby state that, in the opinion of the Directors, the accompanying financial statements set out on pages 180 to 242 are drawn up so as to give a true and fair view of the financial positions of the Group and the Company as at 31 December 2025 and financial performances of the Group and of the Company for the financial year ended 31 December 2025 in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors dated 3 April 2026.

RAMANATHAN A/L P.R. SINGARAM
DIRECTOR

NG ING PENG
DIRECTOR

Kuala Lumpur

STATUTORY DECLARATION PURSUANT TO SECTION 251(1) OF THE COMPANIES ACT 2016

I, Ooi Giap Hwa, the officer primarily responsible for the financial management of Wasco Greenergy Berhad, do solemnly and sincerely declare that, the financial statements set out on pages 180 to 242 are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

Ooi GIAP HWA
MIA NO. 20533

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur in the Federal Territory on 3 April 2026.

Before me:

COMMISSIONER FOR OATHS

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF WASCO GREENERGY BERHAD

(Incorporated in Malaysia)

Registration No. 202301048372 (1542286-P)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Our opinion

In our opinion, the financial statements of Wasco Greenergy Berhad ("the Company") and its subsidiaries ("the Group") give a true and fair view of the financial position of the Group and of the Company as at 31 December 2025, and of their financial performance and their cash flows for the financial year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

What we have audited

We have audited the financial statements of the Group and of the Company, which comprise the statements of financial position as at 31 December 2025 of the Group and of the Company, and the statements of comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the financial year then ended, and notes to the financial statements, including material accounting policies, as set out on pages 180 to 242.

Basis for opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the "Auditors' responsibilities for the audit of the financial statements" section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and other ethical responsibilities

We are independent of the Group and of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code"), as applicable to audits of financial statements of public interest entities and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our audit approach

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements of the Group and of the Company. In particular, we considered where the Directors made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters, consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the financial statements as a whole, taking into account the structure of the Group and of the Company, the accounting processes and controls, and the industry in which the Group and the Company operate.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Company for the current financial year. These matters were addressed in the context of our audit of the financial statements of the Group and of the Company as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

INDEPENDENT AUDITORS' REPORT
TO THE MEMBERS OF WASCO GREENERGY BERHAD
 (INCORPORATED IN MALAYSIA)
 REGISTRATION NO. 202301048372 (1542286-P)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONTINUED)

Key audit matters (continued)

Key audit matter	How our audit addressed the key audit matter
Revenue recognition for contract revenue and sales of goods Refer to Note 23 - Revenue to the financial statements. The Group recognised revenue totalling RM266.5 million for the financial year ended 31 December 2025. The Group's revenue is mainly from contract revenue with customers amounting to RM129.1 million which is recognised over time and sale of equipment, systems and spare parts of RM137.4 million which is recognised at a point-in-time. In line with IFRS 15 / MFRS 15 – Revenue from contracts with customers, revenue is recognised when a performance obligation is satisfied by transferring control over goods or services which depending on contractual terms are over time or at a point-in-time. Hence, for contract revenue, the Group estimates the total contract costs in applying the input method to recognise revenue over time. In estimating the stage of completion, the Group considers the completeness and accuracy of its costs estimation including the progress of work done to-date, the costs incurred to-date and the estimated costs to completion. For sale of equipment, systems and spare parts, revenue is recognised when the goods are delivered and acknowledged by customers. We focus on this area because it requires management in reviewing customer contracts to exercise significant judgement to identify the various performance obligations contained in the contract and determining the satisfaction of performance obligations based on the underlying contractual terms and make critical estimates in allocating the contract's transaction price to each performance obligation based on relative stand-alone price.	We performed the following audit procedures: • Inquired management on significant new contracts and relevant changes, if any to existing contracts; • Read significant new contracts to understand, evaluate and validate management's basis for identifying performance obligations, allocating transaction price and revenue recognition to the underlying contractual terms and conditions; • Evaluated the Group's process and internal controls for tracking and monitoring contract revenue over time and sales recognised at a point-in-time and subsequently performing test of controls to assess the effectiveness of these controls; • For revenue recognised at a point-in-time, checks were performed on selected customers' invoices to the corresponding delivery orders and service report acknowledgements by customers to assess revenue was complete, accurate and recorded in the proper period; • For contract revenue recognised over time: • Evaluated the effectiveness of management's controls over the estimation of total costs by assessing the reasonableness of the costs estimated in the past against actual costs incurred; • For total estimated costs to completion, the costs incurred were validated by performing selected checks to suppliers' invoices and other supporting documentations, and enquired management on the progress of projects that were ongoing as at year-end as well as checking the respective project status to the underlying actual costs incurred to-date and comparing the budgeted costs to completion by referencing against the remaining work to be completed; and • Checked the mathematical accuracy of management's percentage of completion calculations and the accuracy to the inputs used to the underlying supporting documentation. • Reviewed management's presentation and disclosure of revenue recognised over time and at a point-in-time. Based on the above audit procedures performed, we did not identify any material exception.

We have determined that there are no key audit matters to report for the Company.

**INDEPENDENT AUDITORS' REPORT
TO THE MEMBERS OF WASCO GREENERGY BERHAD**
(INCORPORATED IN MALAYSIA)
REGISTRATION NO. 202301048372 (1542286-P)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONTINUED)

Information other than the financial statements and auditors' report thereon

The Directors of the Company are responsible for the other information. The other information comprises the Directors' Report, Statement on Risk Management and Internal Control and other sections of Annual Report, but does not include the financial statements of the Group and of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the financial statements

The Directors of the Company are responsible for the preparation of the financial statements of the Group and of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of the Group and of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Company, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- (a) Identify and assess the risks of material misstatement of the financial statements of the Group and of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- (b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and of the Company's internal control.

INDEPENDENT AUDITORS' REPORT
TO THE MEMBERS OF WASCO GREENERGY BERHAD
 (INCORPORATED IN MALAYSIA)
 REGISTRATION NO. 202301048372 (1542286-P)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONTINUED)

Auditors' responsibilities for the audit of the financial statements (continued)

- (c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- (d) Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Company to cease to continue as a going concern.
- (e) Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Company, including the disclosures, and whether the financial statements of the Group and of the Company represent the underlying transactions and events in a manner that achieves fair presentation.
- (f) Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the Group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Company for the current financial year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

In accordance with the requirements of the Companies Act 2016 in Malaysia, we report that the subsidiaries of which we have not acted as auditors, are disclosed in Note 6 to the financial statements.

OTHER MATTERS

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

PRICEWATERHOUSECOOPERS PLT
 LLP0014401-LCA & AF 1146
 Chartered Accountants

TIANG WOON MENG
 02927/05/2026 J
 Chartered Accountant

Kuala Lumpur
 3 April 2026

STATEMENTS OF FINANCIAL POSITION

AS AT 31 DECEMBER 2025

	Note	Group		Company	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
NON-CURRENT ASSETS					
Property, plant and equipment	4	106,582	104,714	131	10
Right-of-use assets	5	5,066	5,423	-	-
Investment in subsidiaries	6	-	-	202,928	155,621
Investment in joint venture	7	-	4,527	-	-
Goodwill	8	3,304	3,304	-	-
Deferred tax assets	9	1,375	2,401	180	-
		116,327	120,369	203,239	155,631
CURRENT ASSETS					
Inventories	10	61,715	67,348	-	-
Contract assets	11	26,373	19,611	-	-
Trade and other receivables	12	33,752	40,869	248	579
Prepayments	13	9,435	10,324	47	-
Amounts owing by subsidiaries	14	-	-	5,358	-
Amounts owing by fellow subsidiaries	15(a)	82	64	-	-
Amount owing by joint venture	16(a)	-	4	-	-
Tax recoverable		219	120	-	-
Time deposits	17	107,100	37,630	80,000	8,430
Cash and bank balances	18	31,704	17,152	4,725	63
		270,380	193,122	90,378	9,072
TOTAL ASSETS		386,707	313,491	293,617	164,703

STATEMENTS OF FINANCIAL POSITION

AS AT 31 DECEMBER 2025

	Note	Group		Company	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
EQUITY AND LIABILITIES					
CAPITAL AND RESERVES ATTRIBUTABLE TO OWNER OF THE COMPANY					
Share capital	19	235,556	115,000	235,556	115,000
Exchange translation reserve		(5,220)	(12)	-	-
Capital reserve		(24,339)	-	-	-
Retained profits		62,382	39,665	55,850	48,814
		268,379	154,653	291,406	163,814
Non-controlling interests	6	182	19,533	-	-
TOTAL EQUITY		268,561	174,186	291,406	163,814
NON-CURRENT AND DEFERRED LIABILITIES					
Trade and other payables	20	1,410	1,677	-	-
Borrowings	21	35,874	42,236	-	-
		37,284	43,913	-	-
CURRENT LIABILITIES					
Contract liabilities	11	37,285	35,663	-	-
Trade and other payables	20	34,319	43,976	1,902	888
Provision for warranties	22	938	1,953	-	-
Amounts owing to fellow subsidiaries	15(b)	9	1,671	-	-
Amount owing to joint venture	16(b)	-	5,438	-	-
Borrowings	21	6,362	3,160	-	-
Current tax liabilities		1,949	3,531	309	1
		80,862	95,392	2,211	889
TOTAL LIABILITIES		118,146	139,305	2,211	889
TOTAL EQUITY AND LIABILITIES		386,707	313,491	293,617	164,703

STATEMENTS OF COMPREHENSIVE INCOME

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

		Group		Company	
				Financial year ended 31.12.2025	Date of incorporation, 5.12.2023 to 31.12.2024
	Note	2025 RM'000	2024 RM'000	RM'000	RM'000
Revenue	23	266,537	276,715	18,348	50,100
Cost of sales	24	(188,631)	(199,200)	-	-
Gross profit		77,906	77,515	18,348	50,100
Other operating income		3,702	16,605	291	105
Selling and distribution expenses		(5,210)	(5,012)	-	-
Administrative and general expenses		(37,145)	(32,708)	(11,158)	(1,367)
Reversal/(Loss) of impairment of financial assets		398	(410)	-	-
Other losses - net		-	(154)	-	-
Profit from operations	25	39,651	55,836	7,481	48,838
Finance costs	27	(2,487)	(2,277)	-	-
Share of results of joint venture		19	66	-	-
Profit before tax		37,183	53,625	7,481	48,838
Tax expense	28	(10,849)	(14,585)	(445)	(24)
Net profit for the financial year/period		26,334	39,040	7,036	48,814
Other comprehensive expenses					
Items that may be subsequently reclassified to profit or loss:					
Foreign currency translation differences for foreign operations		(5,208)	(259)	-	-
Other comprehensive expenses for the financial year/period, net of tax		(5,208)	(259)	-	-
Total comprehensive income for the financial year/period		21,126	38,781	7,036	48,814

STATEMENTS OF COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	Note	Group		Company	
		2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
Net profit for the financial year/period attributable to:					
Owners of the Company		22,717	34,308	7,036	48,814
Non-controlling interests		3,617	4,732	-	-
Net profit for the financial year/period		26,334	39,040	7,036	48,814
Total comprehensive income for the financial year/period attributable to:					
Owners of the Company		17,509	34,049	7,036	48,814
Non-controlling interests		3,617	4,732	-	-
Total comprehensive income for the financial year/period		21,126	38,781	7,036	48,814
Earnings per share for net profit attributable to the owners of the Company:					
- basic and diluted (sen)	29	5.82	9.08		

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

Group	Note	Attributable to the owners of the Company						Total equity RM'000
		Share capital RM'000	Exchange translation reserve RM'000	Capital reserve RM'000	Retained profits RM'000	Total RM'000	Non-controlling interests RM'000	
At 1 January 2025		115,000	(12)	-	39,665	154,653	19,533	174,186
Net profit for the financial year		-	-	-	22,717	22,717	3,617	26,334
Other comprehensive expense for the financial year		-	(5,208)	-	-	(5,208)	-	(5,208)
Total comprehensive (expense)/income for the financial year		-	(5,208)	-	22,717	17,509	3,617	21,126
Transactions with owners:								
Share issuance pursuant to Public Issue	19	75,000	-	-	-	75,000	-	75,000
Share issuance expenses	19	(1,751)	-	-	-	(1,751)	-	(1,751)
Acquisition of shares in existing subsidiary from non-controlling interests	19	47,307	-	(24,339)	-	22,968	(22,968)	-
Total transactions with owners		120,556	-	(24,339)	-	96,217	(22,968)	73,249
At 31 December 2025		235,556	(5,220)	(24,339)	62,382	268,379	182	268,561

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

Group	Note	Attributable to the owners of the Company					Non- controlling interests RM'000	Total equity RM'000
		Share capital RM'000	Exchange translation reserve RM'000	Retained profits RM'000	Total RM'000			
At 1 January 2024		10	247	120,812	121,069	14,801	135,870	
Net profit for the financial year		-	-	34,308	34,308	4,732	39,040	
Other comprehensive expense for the financial year		-	(259)	-	(259)	-	(259)	
Total comprehensive (expense)/income for the financial year		-	(259)	34,308	34,049	4,732	38,781	
Transactions with owners:								
Issuance of ordinary share	19	114,990	-	(114,990)	-	-	-	
Acquisition of shares in the subsidiaries		-	-	(465)	(465)	-	(465)	
Total transactions with owners		114,990	-	(115,455)	(465)	-	(465)	
At 31 December 2024		115,000	(12)	39,665	154,653	19,533	174,186	

STATEMENT OF CHANGES IN EQUITY

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

Company	Note	Share capital RM'000	Retained earnings RM'000	Total equity RM'000
At 1 January 2025		115,000	48,814	163,814
Share issuance pursuant to Public Issue	19	75,000	-	75,000
Share issuance expenses	19	(1,751)	-	(1,751)
Acquisition of shares in existing subsidiary from non-controlling interests	19	47,307	-	47,307
Total comprehensive income for the financial year		-	7,036	7,036
At 31 December 2025		235,556	55,850	291,406
At 5 December 2023 (date of incorporation)		10	-	10
Issuance of ordinary shares during the period	19	114,990	-	114,990
Total comprehensive income for the financial period		-	48,814	48,814
At 31 December 2024		115,000	48,814	163,814

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	Note	Group		Company	
		2025	2024	Financial	Date of
		RM'000	RM'000	year ended 31.12.2025 RM'000	incorporation, 5.12.2023 to 31.12.2024 RM'000
CASH FLOWS FROM OPERATING ACTIVITIES					
Profit before tax		37,183	53,625	7,481	48,838
Adjustments for:					
Property, plant and equipment:					
- Depreciation	4	3,214	2,768	19	1
- Written-off	4	6	8	-	-
- Net gain on disposal	25	(37)	(431)	-	-
Right-of-use assets:					
- Depreciation	5	305	335	-	-
Inventories:					
- Allowance for slow moving	25	753	214	-	-
- Reversal of allowance for slow moving	25	(313)	(128)	-	-
Trade and other receivables:					
- (Reversal)/Allowance for doubtful debts		(398)	410	-	-
Share of result of joint venture		(19)	(66)	-	-
Net provision of warranties	22	(577)	184	-	-
Net unrealised gain on foreign exchange	25	(461)	(520)	-	-
Dividend income		-	-	(13,020)	(50,100)
Finance income		(1,199)	(1,952)	(291)	(105)
Finance costs	27	2,487	2,277	-	-
Gain on disposal of asset held for sale		-	(11,631)	-	-
Loss on disposal of investment in joint venture		18	-	-	-
Fair value loss on derivative financial instruments		-	154	-	-
Listing expenses		5,940	-	5,940	-
Operating profit/(loss) before working capital changes		46,902	45,247	129	(1,366)
Changes in working capital:					
Inventories		5,195	1,414	-	-
Receivables		1,654	(8,843)	(4,934)	(579)
Payables		(15,365)	(14,227)	765	722
Cash generated from/(used in) operations		38,386	23,591	(4,040)	(1,223)
Tax paid		(11,586)	(14,431)	(317)	(23)
Interest paid		(2,457)	(2,277)	-	-
Interest received		1,059	1,952	152	105

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	Note	Group		Company	
		2025	2024	Financial	Date of
		RM'000	RM'000	year ended 31.12.2025 RM'000	incorporation, 5.12.2023 to 31.12.2024 RM'000
CASH FLOWS FROM OPERATING ACTIVITIES (CONTINUED)					
Net cash generated from/(used in) operating activities		25,402	8,835	(4,205)	(1,141)
CASH FLOWS FROM INVESTING ACTIVITIES					
Issuance of share capital		-	10	-	10
Investment in subsidiaries		-	(40,465)	-	(40,465)
Dividends received		-	-	13,020	50,100
Purchase of property, plant and equipment 4		(5,358)	(53,469)	(140)	(11)
Proceeds from disposal of property, plant and equipment		37	443	-	-
Proceeds from disposal of assets held for sale		-	39,400	-	-
Proceeds from disposal of investment in joint venture		4,528	-	-	-
Advances to holding company		-	(40,080)	-	-
Repayments from holding company		-	40,080	-	-
Advances to a fellow subsidiary		(15,000)	(10,000)	(7,000)	-
Repayments from fellow subsidiaries		15,000	27,050	7,000	-
Net cash (used in)/generated from investing activities		(793)	(37,031)	12,880	9,634
CASH FLOWS FROM FINANCING ACTIVITIES					
Advance from a fellow subsidiary		-	2,000	-	-
Repayment to a fellow subsidiary		-	(2,000)	-	-
Drawdown from borrowings		-	45,396	-	-
Repayment of borrowings		(3,160)	(14,000)	-	-
Proceeds from share issuance		75,000	-	75,000	-
Listing expenses		(7,443)	-	(7,443)	-
Net cash generated from financing activities		64,397	31,396	67,557	-

STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	Note	Group		Company	
		2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
NET CHANGES IN CASH AND CASH EQUIVALENTS		89,006	3,200	76,232	8,493
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE FINANCIAL YEAR/ PERIOD		54,782	52,078	8,493	-
EFFECTS OF EXCHANGE RATE CHANGES		(4,984)	(496)	-	-
CASH AND CASH EQUIVALENTS AT END OF THE FINANCIAL YEAR/PERIOD		138,804	54,782	84,725	8,493
Represented by:					
TIME DEPOSITS	17	107,100	37,630	80,000	8,430
CASH AND BANK BALANCES	18	31,704	17,152	4,725	63
CASH AND CASH EQUIVALENTS		138,804	54,782	84,725	8,493

The reconciliation of liabilities arising from financing activities is as follows:

Group	Term loans RM'000	Total liabilities from financing activities RM'000
<u>2025</u>		
At 1 January	45,396	45,396
Cash outflows:		
Repayment of borrowings	(3,160)	(3,160)
At 31 December	42,236	42,236
<u>2024</u>		
At 1 January	14,000	14,000
Cash inflows:		
Drawdown of borrowings	45,396	45,396
Cash outflows:		
Repayment of borrowings	(14,000)	(14,000)
At 31 December	45,396	45,396

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

1 GENERAL INFORMATION

The Company was incorporated as a private limited liability company and domiciled in Malaysia. On 20 June 2025, the Company was converted to a public limited company. Subsequently, the Company assumed its current name of Wasco Greenergy Berhad ("WG" or "Company") and was listed on the Main Market of Bursa Malaysia Securities Berhad on 11 December 2025. The address of the registered office of the Company is as follows:

Office Suite No. 603, Block C
Pusat Dagangan Phileo Damansara 1
No. 9, Jalan 16/11
Off Jalan Damansara
46350 Petaling Jaya
Selangor Darul Ehsan

The address of the principal place of business of the Company is as follows:

Lot 1929
Jalan Bukit Kemuning, Seksyen 32
40460 Shah Alam
Selangor Darul Ehsan

The principal activities of the Group include the engineering, procurement, construction, and commissioning ("EPCC") of renewable and cleaner energy systems and auxiliary facilities. Additionally, the Group supplies steam turbine generator systems, equipment, and spare parts for the palm oil and other agricultural industries, along with comprehensive after-sales services.

The principal activities of the Company are investment holding and provision of management services to its subsidiaries.

The Directors regard Wasco Berhad ("WB"), a company incorporated in Malaysia and listed on the Main Market of Bursa Malaysia Securities Berhad, as the holding company.

Items included in the financial statements of the Group and the Company are measured using the currency of the primary economic environment in which the Group and its subsidiaries operate ("the functional currency"). The financial statements are presented in Ringgit Malaysia ("RM"), which is also the Company's functional currency. Unless otherwise indicated, the amounts in these financial statements have been rounded to the nearest thousand.

All financial assets and financial liabilities are denominated in Ringgit Malaysia unless otherwise stated.

The financial statements was authorised for issue by the Directors on 3 April 2026.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

2 MATERIAL ACCOUNTING POLICIES

Unless otherwise stated, the following accounting policies have been applied consistently in dealing with items that are considered material in relation to the financial statements.

2.1 Basis of preparation

The financial statements of the Group and the Company have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS") and the requirements of the Companies Act 2016 in Malaysia.

The financial statements of the Group and the Company have been prepared under the historical cost convention unless otherwise indicated in the accounting policies.

The preparation of consolidated financial statements in conformity with MFRS and IFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reported period. It also requires Directors to exercise their judgement in the process of applying the Group's and the Company's accounting policies. Although these estimates and judgement are based on the Directors' best knowledge of current events and actions, actual results may differ.

The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in each respective notes to the financial statements.

2.2 Consolidated financial statements

As the Company was only incorporated on 5 December 2023, the financial statements of the Company for the previous financial period was from the date of incorporation, 5 December 2023 to 31 December 2024. However, the consolidated financial statements of the Company for the financial years ended 31 December 2025 and 31 December 2024 were prepared as though they had been a group as the Company and its subsidiaries were entities under the common control of the ultimate controlling party, Wasco Berhad and control was not transitory for those financial years. Control exists when the controlling party has, as a result of contractual agreements, ultimate collective power to govern the financial and operational policies of each of the entities under common control so as to obtain the benefits from their activities. The financial statements of commonly controlled entities are included in the consolidated financial statements from the day that control commences until the date that control ceases and are accounted for as business combination under common control.

The business combination under common control is accounted for using the "Predecessor Accounting" method as if the Company and its subsidiaries (collectively referred as "WG Group" or "Group") had been operating as a single economic entity through the financial years ended 31 December 2025 and 31 December 2024. The acquired entities' results and statement of financial position are incorporated as if the Group had always been consolidated. Assets and liabilities of the acquired entities are stated at predecessor carrying values, i.e. the amounts recorded by Wasco Berhad, the ultimate controlling party in its consolidated financial statements. The difference between any consideration given by the Company and the aggregate carrying value of the assets and liabilities of the acquired entities at the date of the transaction is included in equity. No additional goodwill is recognised.

In preparing the consolidated financial statements, balances, transactions and unrealised gains or losses on transactions between consolidated group entities were eliminated in full in accordance with the consolidation principles of MFRS 10 / IFRS 10 – Consolidated Financial Statements.

Non-controlling interests represent that portion of the profit or loss, other comprehensive income and net assets of a subsidiary attributable to equity interests that are not owned, directly or indirectly through subsidiaries, by the Company. It is measured at the non-controlling's share of the fair value of the subsidiaries' identifiable assets and liabilities at the date of acquisition and the non-controlling's share of changes in the subsidiaries' equity since that date.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

2 MATERIAL ACCOUNTING POLICIES (CONTINUED)

2.2 Consolidated financial statements (continued)

The Group had recognised a capital reserve of RM24,399,000 which was derived from the excess at fair value of the purchase consideration against the non-controlling interest's portion of net assets in Wasco Thermal Sdn. Bhd. as at the completion date of the acquisition.

2.3 Changes in accounting policies and disclosures

Standards, amendments to published standards and interpretations to existing standards that are applicable to the Group and the Company but not yet effective:

- MFRS 18 'Presentation and Disclosure in Financial Statements' (effective 1 January 2027) replaces MFRS 101 'Presentation of Financial Statements'
- Amendments to MFRS 9 and MFRS 7 'Amendments to the Classification and Measurement of Financial Instruments' (effective 1 January 2026)

The Group and the Company are currently assessing the detailed implications of applying the above on the Group's consolidated financial statements.

The amendment shall be applied retrospectively.

2.4 International Financial Reporting Interpretations Committee ("IFRIC") agenda decisions that are concluded and published

In view that MFRS is fully converged with IFRS Accounting Standards, the Group considers all agenda decisions published by the IFRS Interpretations Committee. Where relevant, the Group may change its accounting policy to be aligned with the agenda decision.

The July 2024 IFRIC agenda decision on the Disclosure of Revenues and Expenses for Reportable Segments (IFRS 8 Reporting Segments) on the financial information of the Group did not have a material impact in prior periods and are not expected to significantly affect the current or future periods.

During the year, the Company has assessed the implication of the April 2025 IFRIC agenda decision on guarantees issued on obligations of its subsidiaries and are in the view that it does not have a material impact on the financial information of the Company for the current or future period.

3 SEGMENT REPORTING

For management purpose, the Group is organised into business units based on their products and services.

The Group's operating segments comprise:

- Renewable energy systems: Engineering, procurement, construction and commissioning ("EPCC") of steam energy systems and auxiliary facilities, supply of steam generator systems, as well as the provision of after-sales services and spare parts for these systems.
- Industrial energy and equipment segment: Include the EPCC of gas-fired energy systems and the sales of palm oil milling equipment which are in-house manufactured and externally sourced.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 SEGMENT REPORTING (CONTINUED)

Financial year ended 31 December 2025	Renewable energy segment RM'000	Industrial energy and equipment segment RM'000	Total RM'000
RESULTS			
Revenue	231,127	35,410	266,537
Cost of sales	(162,730)	(25,901)	(188,631)
Gross profit	68,397	9,509	77,906
Segment profit	41,892	5,518	47,410
Share of results of joint venture	19	-	19
Unallocated finance costs			(2,487)
Unallocated finance income			1,199
Unallocated corporate income			2,180
Unallocated corporate expenses			(11,138)
Profit before tax			37,183

Included in the unallocated corporate expenses are the staff costs incurred by the Company for centralised functions such as accounting, information technology, legal and human resources amounting to RM3,574,000 together with the listing expenses incurred amounting to RM5,940,000.

Financial year ended 31 December 2025	Renewable energy segment RM'000	Industrial energy and equipment segment RM'000	Total RM'000
OTHER INFORMATION			
Contract costs	78,006	16,258	94,264
Cost of goods and services sold	84,691	9,676	94,367
Allowance for impairment of trade receivables:			
- Addition during the financial year	921	164	1,085
- Reversal during the financial year	(1,000)	(483)	(1,483)
Depreciation:			
- Property, plant and equipment	2,811	385	3,196
- Right-of-use assets	277	28	305
Reversal of provision for warranty	(508)	(69)	(577)
Staff costs	28,101	3,973	32,074

There is no segmental disclosure for the group assets as the Chief Operating Decision Maker does not consider the allocation of assets by segmental to be meaningful for decision making.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 SEGMENT REPORTING (CONTINUED)

	Renewable energy segment RM'000	Industrial energy and equipment segment RM'000	Total RM'000
Financial year ended 31 December 2024			

RESULTS

Revenue	235,994	40,721	276,715
Cost of sales	(169,225)	(29,975)	(199,200)
Gross profit	66,769	10,746	77,515
Segment profit	35,520	5,442	40,962
Share of results of joint venture	66	-	66
Unallocated finance costs			(2,277)
Unallocated finance income			1,952
Unallocated corporate income			14,443
Unallocated corporate expenses			(1,521)
Profit before tax			53,625

Included in the unallocated corporate income was the gain on disposal of asset held for sale amounting to RM11,631,000.

	Renewable energy segment RM'000	Industrial energy and equipment segment RM'000	Total RM'000
Financial year ended 31 December 2024			

OTHER INFORMATION

Contract costs	76,867	13,126	89,993
Cost of goods and services sold	92,358	16,849	109,207
Allowance for impairment of trade receivables:			
- Addition during the financial year	538	483	1,021
- Reversal during the financial year	(264)	(347)	(611)
Depreciation:			
- Property, plant and equipment	2,368	400	2,768
- Right-of-use assets	291	44	335
Provision for warranty	468	-	468
Staff costs	28,709	4,800	33,509

There is no segmental disclosure for the group assets as the Chief Operating Decision Maker does not consider the allocation of assets by segmental would be meaningful for decision making.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 SEGMENT REPORTING (CONTINUED)

Geographical information

Revenue and non-current assets information is based on the geographical location of customers and assets respectively as follows:

	2025 RM'000	2024 RM'000
REVENUE		
Attributable to the country of domicile:		
Malaysia	147,526	120,510
Attributable to foreign countries:		
Indonesia	97,277	136,799
America	13,223	13,732
Others	8,511	5,674
Total revenue	266,537	276,715

	2025 RM'000	2024 RM'000
NON-CURRENT ASSETS		
Attributable to the country of domicile:		
Malaysia	113,539	115,721
Attributable to foreign country:		
Indonesia	1,413	2,247
Total non-current assets	114,952	117,968

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

4 PROPERTY, PLANT AND EQUIPMENT

Group	Freehold land RM'000	Freehold buildings RM'000	Plant and machinery, tools and equipment RM'000	Furniture, fittings, computer and office equipment RM'000	Renovation and store extension RM'000	Motor vehicles RM'000	Capital work in progress RM'000	Total RM'000
<u>Cost</u>								
At 1 January 2025	68,938	26,896	17,712	6,796	3,738	5,906	342	130,328
Additions	-	-	2,089	990	968	704	663	5,414
Disposals	-	-	-	-	-	(191)	-	(191)
Write-offs	-	-	(213)	(624)	-	-	-	(837)
Reclassification	-	-	1,005	-	-	-	(1,005)	-
Transfer to inventories	-	-	(43)	-	-	-	-	(43)
Effect of exchange rate changes	-	-	(280)	(69)	(88)	(325)	-	(762)
At 31 December 2025	68,938	26,896	20,270	7,093	4,618	6,094	-	133,909
<u>Accumulated depreciation</u>								
At 1 January 2025	-	1,655	12,679	5,337	1,700	4,243	-	25,614
Charge for the financial year	-	539	1,236	475	395	569	-	3,214
Disposals	-	-	-	-	-	(191)	-	(191)
Write-offs	-	-	(208)	(623)	-	-	-	(831)
Transfer to inventories	-	-	(41)	-	-	-	-	(41)
Effect of exchange rate changes	-	-	(122)	(46)	(36)	(234)	-	(438)
At 31 December 2025	-	2,194	13,544	5,143	2,059	4,387	-	27,327
<u>Net book value</u>								
At 31 December 2025	68,938	24,702	6,726	1,950	2,559	1,707	-	106,582

During the financial year, the Group acquired property, plant and equipment of RM5,414,000 of which RM56,000 remain unpaid and included in other payables as at 31 December 2025.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

4 PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Group	Freehold land RM'000	Freehold buildings RM'000	Plant and machinery, tools and equipment RM'000	Furniture, fittings, computer and office equipment RM'000	Renovation and store extension RM'000	Motor vehicles RM'000	Capital work in progress RM'000	Total RM'000
<u>Cost</u>								
At 1 January 2024	67,030	26,237	18,306	6,365	2,444	5,551	296	126,229
Additions	1,908	659	785	617	1,294	801	46	6,110
Disposals	-	-	(1,259)	(4)	-	(446)	-	(1,709)
Write-offs	-	-	(103)	(182)	-	-	-	(285)
Transfer to inventories	-	-	(17)	-	-	-	-	(17)
At 31 December 2024	68,938	26,896	17,712	6,796	3,738	5,906	342	130,328
<u>Accumulated depreciation</u>								
At 1 January 2024	-	1,115	12,926	5,110	1,461	4,208	-	24,820
Charge for the financial year	-	540	1,108	412	239	469	-	2,768
Disposals	-	-	(1,259)	(4)	-	(434)	-	(1,697)
Write-offs	-	-	(96)	(181)	-	-	-	(277)
At 31 December 2024	-	1,655	12,679	5,337	1,700	4,243	-	25,614
<u>Net book value</u>								
As at 31 December 2024	68,938	25,241	5,033	1,459	2,038	1,663	342	104,714

In the prior financial year, the Group acquired property, plant and equipment of RM6,110,000 of which RM9,000 remain unpaid and included in other payables.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

4 PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Company	Computer and office equipment RM'000	Total RM'000
<u>Cost</u>		
At 1 January 2025	11	11
Additions	140	140
At 31 December 2025	151	151
<u>Accumulated depreciation</u>		
At 1 January 2025	1	1
Charge for the financial year	19	19
At 31 December 2025	20	20
<u>Net book value</u>		
As at 31 December 2025	131	131

During the financial year, the Company acquired property, plant and equipment of RM140,000 which are fully paid in cash as at 31 December 2025.

Company	Computer and office equipment RM'000	Total RM'000
<u>Cost</u>		
At 5 December 2023 (date of incorporation)	-	-
Additions	11	11
At 31 December 2024	11	11
<u>Accumulated depreciation</u>		
At 5 December 2023 (date of incorporation)	-	-
Charge for the financial period	1	1
At 31 December 2024	1	1
<u>Net book value</u>		
As at 31 December 2024	10	10

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

4 PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

In the prior financial period, the Company acquired property, plant and equipment of RM11,000 which was fully paid in cash as at 31 December 2024.

Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Freehold land is not depreciated as it has an indefinite life. Capital work-in-progress and assets under construction included in property, plant and equipment are not depreciated until these assets are ready for their intended use.

Depreciation is calculated to write off the depreciable amount on a straight line basis over their estimated useful lives. The depreciable amount is determined after deducting residual value from cost. The estimated useful lives of the property, plant and equipment are as follows:

Freehold buildings	50 years
Plant and machinery, tools and equipment	5 to 10 years
Renovation and store extension	10 years
Furniture, fittings, computer hardware, software and office equipment	4 to 20 years
Motor vehicles	5 years

The residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at the end of each financial year/period.

Key estimates

The determination of useful lives, residual values and depreciation methods involves estimates and assumptions and is reviewed annually. Any changes to useful lives or any other estimates or assumptions, including the expected impact of climate change and the transition to a lower carbon economy, may affect prospective depreciation rates and asset carrying values.

Commitments

The Group's and the Company's commitments for capital expenditure were RM1,992,000 and RM28,000 as at 31 December 2025 (2024: RM1,477,000 and RM Nil). The Group's commitments related to leases are included in Note 5 'Right-of-use assets'.

Impairment assessment

The Group assesses whether there is any indication of impairment at the end of each reporting period. Impairment is measured by comparing the carrying amount of an asset with its recoverable amount. Recoverable amount is measured at the higher of the fair value less cost to sell for that asset and its value-in-use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units).

For certain property, plant and equipment, fair value less cost to sell is determined based on estimates prepared by an independent expert. The fair value is estimated based on comparison of market transacted price for similar property, plant and equipment, and where necessary, adjusted for age, usage and conditions of the property, plant and equipment and expectation of future market outlook of the industry due to the uncertainty of the future economic condition.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

4 PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Derecognition

Property, plant and equipment are derecognised upon disposal or when no future economic benefits are expected from their use. Gains and losses on disposals are determined by comparing proceeds with carrying amounts and are included in the profit or loss in the financial year/period the asset is derecognised.

5 RIGHT-OF-USE ASSETS

Group	Leasehold buildings RM'000	Leasehold lands RM'000	Total RM'000
<u>Cost</u>			
At 1 January 2024	1,362	4,141	5,503
Reclassification	817	-	817
Additions	48	-	48
Derecognition	(39)	-	(39)
At 31 December 2024 / 1 January 2025	2,188	4,141	6,329
Additions	41	-	41
Effect of exchange rate changes	(168)	-	(168)
At 31 December 2025	2,061	4,141	6,202
<u>Accumulated depreciation</u>			
At 1 January 2024	105	392	497
Reclassification	112	-	112
Depreciation for the financial year	282	53	335
Derecognition	(38)	-	(38)
At 31 December 2024 / 1 January 2025	461	445	906
Depreciation for the financial year	252	53	305
Effect of exchange rate changes	(75)	-	(75)
At 31 December 2025	638	498	1,136
<u>Carrying amounts</u>			
At 31 December 2025	1,423	3,643	5,066
At 31 December 2024	1,727	3,696	5,423

Recognition and measurement

Right-of-use assets are measured at cost, comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentive received;
- any initial direct costs; and
- decommissioning or restoration costs.

Lease terms are non-negotiable. The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

NOTES TO THE FINANCIAL STATEMENTS
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5 RIGHT-OF-USE ASSETS (CONTINUED)

Recognition and measurement (continued)

The Group has leasehold buildings comprising of various offices, warehouses and staff quarters in Indonesia which are leased for fixed periods of 1 to 5 years and are recognised as leasehold buildings.

The Group leases 4 leasehold lands and buildings in Malaysia whereby the lands are depreciated over the remaining period of the leases ranging from 55 to 89 years as at 31 December 2025 (2024: 56 to 90 years). The buildings are depreciated over 50 years of useful life.

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life.

Payments associated with short-term leases of equipment and vehicles, and all leases of low-value assets, are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less without a purchase option. Low-value assets comprise IT equipment and small items of office furniture.

6 INVESTMENT IN SUBSIDIARIES

	Company	
	2025 RM'000	2024 RM'000
Unquoted shares, at cost	202,928	155,621

Recognition and measurement

In the Company's separate financial statements, investments in subsidiaries are stated at cost less accumulated impairment losses, if any. Where an indication of impairment exists, the carrying amount of the investment is assessed and written down immediately to its recoverable amount.

All intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred. When necessary, amounts reported by subsidiaries have been adjusted to conform with the Group's accounting policies.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

6 INVESTMENT IN SUBSIDIARIES (CONTINUED)

Details of the subsidiaries are as follows:

Name of company	Country of incorporation	Effective interest		Principal activities
		2025 %	2024 %	
Wasco Thermal Sdn. Bhd.	Malaysia	100 [@]	60	Undertaking of steam boiler and energy system projects in both local and overseas markets
Wasco AgroTech Sdn. Bhd.	Malaysia	100	100	Manufacturing and supplying of spare parts, equipment and provision of maintenance services for palm oil and other agricultural industries
PMT Industries (Labuan) Ltd.	Federal Territory Labuan	100	100	Dormant
PMT-Dong Yuan Industries Sdn. Bhd.	Malaysia	100	100	Dormant
PT. Wasco AgroTech Indonesia	Indonesia	100	100	Supply of spare parts, equipment, provision of maintenance services and engineering consultation for palm oil and other agricultural industries
Wasco Saito Sdn. Bhd.	Malaysia	51	51	Manufacturing of accessories and equipment under the brand of "Saito" for disc bowl centrifuge, for palm oil industry, manufacturing of decanters model SID-550P and 580P for palm oil industry, and manufacturing and development of new products in any industry

[@] On 19 June 2025, the Company entered into a Conditional Share Sale Agreement with Tema Energy Ventures Sdn. Bhd. ("Tema Energy") for the acquisition of 1,000,000 ordinary shares in Wasco Thermal Sdn. Bhd. ("WTSB") (representing the remaining 40% equity interest in WTSB) from Tema Energy for a total purchase consideration of RM19,301,000 to be satisfied via the issuance and allotment of 14,404,000 Shares in the Company at an issue price of RM1.34 per Share. The acquisition was completed on 28 October 2025 and WTSB effectively became a wholly-owned subsidiary of the Company.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

6 INVESTMENT IN SUBSIDIARIES (CONTINUED)

2025	Group
	Wasco Saito Sdn. Bhd. RM'000
NCI percentage of ownership interest and voting interest	49%
Carrying amount of NCI	182
Net loss allocated to NCI	(50)
<u>Summarised financial information before intra-group elimination</u>	
<u>As at 31 December</u>	
Non-current assets	27
Current assets	503
Current liabilities	(158)
Net assets	372
<u>Financial year ended 31 December</u>	
Revenue	243
Net loss for the financial year	(101)
Total comprehensive loss for the financial year	(101)
Cash flows used in operating activities	(123)
Cash flows used in investing activities	(2)
Net changes in cash and cash equivalents	(125)
Dividends paid to NCI	-

2024	Group		
	Wasco Saito Sdn. Bhd. RM'000	Wasco Thermal Sdn. Bhd. RM'000	Total RM'000
NCI percentage of ownership interest and voting interest	49%	40%	
Carrying amount of NCI	232	19,301	19,533
Net (loss)/profit allocated to NCI	(240)	4,972	4,732

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6 INVESTMENT IN SUBSIDIARIES (CONTINUED)

Details of the subsidiaries are as follows: (continued)

	Group	
	Wasco Saito Sdn. Bhd. RM'000	Wasco Thermal Sdn. Bhd. RM'000
2024		
<u>Summarised financial information before intra-group elimination</u>		
<u>As at 31 December</u>		
Non-current assets	31	71,457
Current assets	655	74,674
Non-current liabilities	-	(42,236)
Current liabilities	(212)	(55,642)
Net assets	474	48,253
<u>Financial year ended 31 December</u>		
Revenue	438	127,941
Net (loss)/profit for the financial year	(489)	12,430
Total comprehensive (loss)/income for the financial year	(489)	12,430
Cash flows used in operating activities	(58)	(893)
Cash flows used in investing activities	-	(44,537)
Cash flows generated from financing activities	-	43,448
Net changes in cash and cash equivalents	(58)	(1,982)
Dividends paid to NCI	-	-

7 INVESTMENT IN JOINT VENTURE

	Group	
	2025 RM'000	2024 RM'000
Unquoted shares	-	1,470
Share of post-acquisition results and reserves	-	3,057
Share of net assets of joint venture	-	4,527

Recognition and measurement

The Group's interest in joint ventures is accounted for in the consolidated financial statements using the equity method of accounting after initially being recognised as cost. Equity accounting is discontinued when the carrying amount of the investment in joint ventures (including any long-term interests that, in substance, form part of the Group's net investment in joint venture) reaches zero, unless the Group has incurred obligation or made payment on behalf of the joint venture.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

7 INVESTMENT IN JOINT VENTURE (CONTINUED)

The details of joint venture are as follows:

Name of company	Country of incorporation	Effective interest		Principal activities
		2025 %	2024 %	
Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)	Malaysia	-@	49	Engaged in assembly and supply of equipment for palm oil and other agricultural industries

The following table summarised the financial information of the Group's joint venture and reconciles the information to the carrying amount of the Group's interest in the joint venture:

Group	Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)	
	2025 RM'000	2024 RM'000
<u>Summarised financial information before intra-group elimination</u>		
<u>As at 31 December</u>		
Non-current assets	-	798
Current assets (excluding cash and cash equivalents)	-	13,287
Cash and cash equivalents	-	7,365
Current liabilities	-	(12,211)
Net assets	-	9,239

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

7 INVESTMENT IN JOINT VENTURE (CONTINUED)

The following table summarised the financial information of the Group's joint venture and reconciles the information to the carrying amount of the Group's interest in the joint venture: (continued)

Group	Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)	
	Financial period from 01.01.2025 to 07.07.2025 RM'000	Financial year ended 31.12.2024 RM'000
Net profit for the financial period/year	38	134
Total comprehensive income for the financial period/year	38	134
Included in total comprehensive income are:		
Revenue	10,238	26,443
Depreciation and amortisation	(80)	(144)
Interest income	48	18
Tax (expense)/credit	(23)	16

Reconciliation of net assets to carrying amount

	Group	
	2025 RM'000	2024 RM'000
At 1 January	4,527	4,461
Add: Group's share of profit	19	66
Less: Disposal of equity interest in joint venture	(4,546)	-
As at 31 December	-	4,527

	Group	
	Financial period from 01.01.2025 to 07.07.2025 RM'000	Financial year ended 31.12.2024 RM'000
<u>Group's share of results</u>		
Group's share of profit	19	66

@ On 7 July 2025, the Group entered into a share sale and purchase agreement to dispose off its entire equity interest of 49% in the joint venture, Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.) for a purchase consideration of RM4,528,000.

On 16 July 2025, the Group completed the disposal of the investment in joint venture.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

8 GOODWILL

	Group	
	2025 RM'000	2024 RM'000
<u>Cost</u>		
As at 1 January/31 December	3,304	3,304

Recognition and measurement

Goodwill arising from acquisitions of subsidiaries is measured as the excess of the cost of acquisition of subsidiaries, joint ventures and associates over the fair value of the Group's share of the identifiable net assets at the date of acquisition. Goodwill is not amortised but it is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses. Gains and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold. Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose. The units or groups of units are identified at the lowest level at which goodwill is monitored for internal management purposes, being the operating segments.

Impairment assessment

The Group tests goodwill for impairment annually and whenever events or changes in circumstances indicate that the goodwill may be impaired. For the purposes of assessing impairment, goodwill is allocated to cash-generating units that are expected to benefit from the synergies of the business combination in which the goodwill arose. The estimation of the present value of future cash flows generated by the cash-generating units or groups of cash-generating units are based on management's judgement of the developments in the market and the expected future performance, taking into account the impact of the uncertainty of the future economic condition.

These discounted cash flow calculations use five-year projections that are based on financial forecast. Cash flow projections take into account past experience and represent management's best estimate about future developments. Cash flows after the five-year period are extrapolated to perpetuity using terminal growth rates. Key assumptions on which management has based its determination of recoverable value include estimated revenue amount and weighted average cost of capital adjusted for specific risks associated with the cash-generating units. Due to the uncertainty of the future economic condition, management developed the base case and worst case scenario of cash flow projections. Probabilities of occurrence were assigned to each scenario to arrive at a single set of cash flow projection. The assumptions used in both scenarios and the probabilities of occurrence assigned required management's judgement. Changes in assumptions could affect the results of the Group's test for impairment of goodwill.

For the purpose of impairment assessment, goodwill is allocated to the Company's direct subsidiary Wasco AgroTech Sdn. Bhd. ("WAT") palm oil milling business which is under Industrial Energy and Equipment segment.

Value-in-use was determined by discounting the future cash flows generated from the cash-generating units ("CGU") in the subsidiary based on the following key assumptions:

- Cash flows were projected based on actual operating results and the 5 years (2024: 5 years) business plan.
- A pre-tax discount rate of 14.6% (2024: 21.4%) used to calculate the present value of the cash flows.
- The revenue growth rate used for cash flows in respect of year 2 to 5 is 5% (2024: 5%). Cash flows beyond the 5-year period used a zero revenue growth rate, which does not exceed the long-term average growth rate in the CGU operates.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

8 GOODWILL (CONTINUED)

Impairment assessment (continued)

The key assumptions represent management's assessment of future trends in the manufacturing of kernal crushing plant and component parts industry and are based on historical data obtained from both external sources and internal sources.

Sensitivity

Management believes that no reasonably possible change in any of the key assumptions would cause the carrying value of the CGU to exceed its recoverable amount.

9 DEFERRED TAX ASSETS/(LIABILITIES)

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset and intend to settle either on a net basis or to realise the asset and settle the liability simultaneously.

The following amounts, determined after appropriate offsetting, are shown in the statements of financial position:

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Deferred tax assets	3,816	4,641	180	-
Deferred tax liabilities	(2,441)	(2,240)	-	-
	1,375	2,401	180	-

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

9 DEFERRED TAX ASSETS/(LIABILITIES) (CONTINUED)

The movements in deferred tax assets and liabilities of the Group and the Company during the financial year are as follows:

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
As at 1 January	2,401	2,399	-	-
(Charged)/Credited to profit or loss (Note 28):				
- Property, plant and equipment	(237)	(751)	(17)	-
- Unrealised foreign exchange	38	(96)	-	-
- Provisions and accruals	(768)	695	197	-
- Unutilised tax losses	-	(18)	-	-
- Inventories	26	35	-	-
- Trade and other receivables	23	141	-	-
	(918)	6	180	-
Effect of exchange rate changes	(108)	(4)	-	-
As at 31 December	1,375	2,401	180	-
<u>Subject to income tax</u>				
Deferred tax liabilities (before offsetting):				
- Property, plant and equipment	(2,364)	(2,125)	(17)	-
- Unrealised foreign exchange	(77)	(115)	-	-
	(2,441)	(2,240)	(17)	-
Offsetting	2,441	2,240	17	-
As at 31 December (after offsetting)	-	-	-	-
Deferred tax assets (before offsetting):				
- Property, plant and equipment	17	20	-	-
- Unrealised foreign exchange	23	22	-	-
- Provisions and accruals	1,773	2,625	197	-
- Inventories	886	880	-	-
- Trade and other receivables	832	809	-	-
- Contract assets	285	285	-	-
	3,816	4,641	197	-
Offsetting	(2,441)	(2,240)	(17)	-
As at 31 December (after offsetting)	1,375	2,401	180	-

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

9 DEFERRED TAX ASSETS/(LIABILITIES) (CONTINUED)

Recognition and measurement

Deferred tax assets are recognised for all unutilised tax losses, unabsorbed capital allowances and other deductible temporary differences to the extent that it is probable that taxable profit will be available against which the tax losses, capital allowances and other deductible temporary differences can be utilised. Significant judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits. Assumptions about generation of future taxable profits depend on the Group's estimate of projected future cash flows. These judgements and assumptions are subject to risks and uncertainty, hence there is a possibility that changes in circumstances will alter expectations, which may impact the amount of deferred tax assets recognised in the statements of financial position and the amount of unutilised tax losses, unabsorbed capital allowances and unutilised temporary differences that remain unrecognised.

Key estimates

The Group and the Company concluded that the deferred tax assets will be recoverable using the estimated future taxable income of the Company and subsidiaries of the Company. It is estimated that the secured project and unsecured project with high probabilities of successful award which will contribute to the future taxable income at the subsidiaries.

The Group did not recognise deferred tax assets arising from the following temporary differences of certain subsidiaries as it is not probable that future taxable profit will be available against which the deferred tax assets can be utilised in these subsidiaries.

	Group	
	2025 RM'000	2024 RM'000
Deductible temporary differences on:		
- Unutilised tax losses	963	856
- Unabsorbed capital allowance	68	64
- Provisions and accruals	52	63
- Others	3	8
As at 31 December	1,086	991
Deferred tax assets not recognised	261	238

The Group's accumulated unutilised tax losses, for which no deferred tax assets were recognised on, can be carried forward for another 10 consecutive years (2024: 10 consecutive year) of assessment ("YA") effective from YA2018.

		Group	
		2025 RM'000	2024 RM'000
Expiring in			
Unutilised tax losses			
- YA2020	YA2030	65	65
- YA2021	YA2031	54	54
- YA2022	YA2032	156	156
- YA2023	YA2033	153	153
- YA2024	YA2034	428	428
- YA2025	YA2035	107	-
		963	856

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

10 INVENTORIES

	Group	
	2025 RM'000	2024 RM'000
Raw materials	14,367	14,148
Work-in-progress	10,655	10,000
Manufactured and trading goods	39,119	44,285
Consumables	70	109
Goods in transit	1,523	2,410
	65,734	70,952
Less: Allowance for slow moving inventories	(4,019)	(3,604)
	61,715	67,348

Inventories recognised as an expense in cost of sales during the financial year ended 31 December 2025 is RM82,988,000 (2024: RM104,862,000).

Recognition and measurement

Inventories are stated at the lower of cost and net realisable value. Cost is determined on the first in, first out basis. In the case of finished goods and work in progress, cost comprises materials, direct labour, other direct charges and an appropriate proportion of factory overheads.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs to completion and selling expenses.

11 CONTRACT ASSETS/(LIABILITIES)

	Group	
	2025 RM'000	2024 RM'000
At 1 January		
- Contract assets	19,611	12,981
- Contract liabilities	(35,663)	(49,405)
	(16,052)	(36,424)
<u>Over time</u>		
Revenue recognised during the financial year		
- that was included in the contract liabilities at 1 January	12,092	22,774
- from additional contract assets during the financial year	117,049	98,289
Less: Billings during the financial year	(122,266)	(106,538)
	6,875	14,525

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

11 CONTRACT ASSETS/(LIABILITIES) (CONTINUED)

	Group	
	2025 RM'000	2024 RM'000
<u>Point in time</u>		
Revenue recognised during the financial year		
- that was included in the contract liabilities at 1 January	13,404	20,529
- from additional contract assets during the financial year	49,037	1,203
Less: Billings during the financial year	(64,339)	(15,985)
Effect of exchange rate changes	163	100
	(1,735)	5,847
At 31 December	(10,912)	(16,052)
At 31 December		
- Contract assets	26,373	19,611
- Contract liabilities	(37,285)	(35,663)
	(10,912)	(16,052)

Revenue relating to performance obligations that are unsatisfied or partially unsatisfied as at 31 December 2025 for the Group amounted to RM241,310,000 (2024: RM259,190,000) is expected to be recognised in the next 12 to 24 months (2024: in the next 12 to 24 months).

12 TRADE AND OTHER RECEIVABLES

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Trade receivables	34,014	42,112	-	-
Less: Allowance for impairment of trade receivables	(3,466)	(3,649)	-	-
	30,548	38,463	-	-
Other receivables	2,535	1,999	243	579
Less: Allowance for impairment of other receivables	-	(264)	-	-
Deposits	669	671	5	-
	3,204	2,406	248	579
	33,752	40,869	248	579

Trade receivables are non-interest bearing and are generally on 30 to 120 days (2024: 30 to 120 days) credit terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

12 TRADE AND OTHER RECEIVABLES (CONTINUED)

The movements in the allowance for impairment loss of trade receivables during the financial year are as follows:

	Group	
	2025 RM'000	2024 RM'000
At 1 January	3,649	3,290
Recognised in profit or loss:		
- Impairment loss recognised	1,085	1,021
- Impairment loss reversed	(1,226)	(611)
Bad debt written off	-	(51)
Exchange rate differences	(42)	-
At 31 December	3,466	3,649

The Group applies simplified approach to provide for expected credit loss ("ECL"), which permits the use of the lifetime expected loss provision for all trade receivables and contract assets. The Group accounts for its credit risk by appropriately providing for ECL on timely basis. In calculating credit loss rate, trade receivables and contract assets are assessed based on credit risk categories and the days past due and considered the forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. Trade receivables that are determined to be impaired at the reporting date relate to debtors that are in significant financial difficulties and have defaulted on payments. These receivables are not secured by any collateral.

The movements in the allowance for impairment losses of other receivables during the financial year are as follows:

	Group	
	2025 RM'000	2024 RM'000
As 1 January	264	301
Recognised in profit or loss:		
- Impairment loss reversed	(257)	-
Bad debt written off	(8)	-
Exchange rate differences	1	(37)
At 31 December	-	264

Other receivables that are individually determined to be impaired at the reporting date relate to debtors that are in significant financial difficulties and have defaulted on payments. These receivables are not secured by any collateral.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

12 TRADE AND OTHER RECEIVABLES (CONTINUED)

The following table contains an analysis of the credit risks exposure for which expected credit loss is recognised:

	Gross trade receivables RM'000	Expected credit loss RM'000	Net trade receivables RM'000
<u>2025</u>			
Not past due	8,353	(240)	8,113
1 to 90 days overdue	16,725	(23)	16,702
91 to 180 days overdue	3,065	(16)	3,049
181 to 365 days overdue	2,535	-	2,535
More than 365 days overdue	3,336	(3,187)	149
	34,014	(3,466)	30,548
<u>2024</u>			
Not past due	10,849	(10)	10,839
1 to 90 days overdue	21,498	(42)	21,456
91 to 180 days overdue	3,585	(33)	3,552
181 to 365 days overdue	3,072	(1,018)	2,054
More than 365 days overdue	3,108	(2,546)	562
	42,112	(3,649)	38,463

13 PREPAYMENTS

Prepayments as at 31 December 2025 primarily comprise of advance payments to suppliers whereas prepayments as at 31 December 2024 primarily comprised listing expenses which had been fully expensed off during the current financial year and advance payments to suppliers.

14 AMOUNTS OWING BY SUBSIDIARIES

	Company	
	2025 RM'000	2024 RM'000
Trade	5,328	-
Non-trade	30	-
	5,358	-

The trade and non-trade amounts are unsecured, interest free and recoverable on demand.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

15 AMOUNTS OWING BY/(TO) FELLOW SUBSIDIARIES

- (a) Amounts owing by fellow subsidiaries are analysed as follows:

	Group	
	2025 RM'000	2024 RM'000
Non-trade	82	64

The non-trade amounts are unsecured, interest free and recoverable on demand.

- (b) Amounts owing to fellow subsidiaries are analysed as follows:

	Group	
	2025 RM'000	2024 RM'000
Trade	-	34
Non-trade	9	1,637
	9	1,671

The non-trade amounts are unsecured, interest free and repayable on demand.

16 AMOUNT OWING BY/(TO) JOINT VENTURE

- (a) The amount owing by joint venture is analysed as follows:

	Group	
	2025 RM'000	2024 RM'000
Trade	-	4

- (b) The amount owing to joint venture is analysed as follows:

	Group	
	2025 RM'000	2024 RM'000
Trade	-	5,438

The intercompany balances between the Group and Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.) are classified as trade receivables and trade payables as at 31 December 2025 as the 49% equity interest in the joint venture has been disposed on 7 July 2025.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

17 TIME DEPOSITS

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Deposits with licensed banks	107,100	37,630	80,000	8,430

The effective interest rates of time deposits of the Group and the Company are as follows:

	Group		Company	
	2025 %	2024 %	2025 %	2024 %
Deposits with licensed banks:				
- Effective interest rates during the financial year/period	2.00 – 3.24	2.00 – 2.97	2.10 – 3.24	2.00 – 2.10

Deposits with licensed banks of the Group and the Company have a maturity period of 1 to 90 days and 6 to 90 days respectively (2024: 1 to 14 days).

18 CASH AND BANK BALANCES

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Cash and bank balances	31,704	17,152	4,725	63

Cash and bank balances are deposits held at call with banks and earn no interest.

The Group's cash and cash equivalents exposure to foreign currencies are disclosed in Note 33 to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

19 SHARE CAPITAL

	Group and Company			
	2025		2024	
	Number of shares '000	Carrying value RM'000	Number of shares '000	Carrying value RM'000
<u>Issued and fully paid:</u>				
Ordinary shares with no par value				
At 1 January/date of incorporation	115,000	115,000	10	10
Issued during the financial year/period	-	-	114,990	114,990
Fair value of acquired share in existing subsidiary from non-controlling interest	14,404	47,307	-	-
Bonus issue	295,596	-	-	-
Share issuance pursuant to Public Issue	75,000	75,000	-	-
Share issuance expenses	-	(1,751)	-	-
As at 31 December	500,000	235,556	115,000	115,000

The share capital of the Group and the Company represent the legal share capital and shows the corresponding movements in share capital based on the legal form of the Company since the date of incorporation.

On 30 December 2024, the Company issued and allotted 114,990,000 new ordinary shares in the share capital of the Company at an issue price of RM1.00 per share to Wasco Berhad, its holding company for a total consideration of RM114,990,000.

On 28 October 2025, the Company issued and allotted 14,404,000 shares at RM1.34 per share to Tema Energy Ventures Sdn. Bhd. for the acquisition of 40% equity interest in Wasco Thermal Sdn. Bhd..

On 28 October 2025, the Company issued and allotted 262,693,100 and 32,902,900 bonus shares to the holding company, Wasco Berhad and Tema Energy Ventures Sdn. Bhd. respectively to facilitate the initial public offering. The Bonus Issue was implemented without capitalising the retained earnings or reserves of the Company and such new shares were issued at nil consideration.

On 10 December 2025, the Company issued and allotted 75,000,000 shares at RM1.00 per share prior to the listing of the Company.

Recognition and measurement

Issue of shares

Ordinary shares are classified as equity.

The holders of ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share and rank equally with regard to the Company's residual assets.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

20 TRADE AND OTHER PAYABLES

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
<u>Non-current</u>				
Defined benefit scheme for employees	1,410	1,677	-	-
<u>Current</u>				
Trade payables	15,273	23,809	-	-
Accrued bonus	5,394	7,417	820	717
Accrued project cost	8,318	7,253	-	-
Non-trade creditors	562	771	132	3
Other payables and accruals	4,772	4,726	950	168
	34,319	43,976	1,902	888
Total	35,729	45,653	1,902	888

21 BORROWINGS

	Group	
	2025 RM'000	2024 RM'000
<u>Non-current</u>		
Unsecured:		
Term loan	35,874	42,236
<u>Current</u>		
Unsecured:		
Term loan	6,362	3,160
Total	42,236	45,396

The effective interest rates of borrowings of the Group are as follows:

	Group	
	2025 %	2024 %
Borrowings	5.23 - 5.62	5.50 - 5.72

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

21 BORROWINGS (CONTINUED)

The Group had drawdown a term loan of RM45,396,000 in the financial year ended 31 December 2024 with the following key conditions:

- (a) the first instalment starts from the end of 5th quarter from the date of first drawdown and the subsequent instalments falling due on every 3 months following the previous instalment. The first instalment commenced on 18 July 2025; and
- (b) bears a floating interest rate of the Bank's cost of funds (as determined by Bank at the commencement of each interest period) and subject to Bank's right to vary the margin from time to time of 1.50% per annum.

The Company has granted corporate guarantee for both loans during the financial year whereas in the prior financial year, it was granted by the holding company, Wasco Berhad.

The Group has complied with the financial covenants of its bank loans and borrowings for the respective financial year ended 31 December 2025 and 31 December 2024. See Note 34 to the financial statements for further details.

The remaining maturities of the loans and borrowings are as follows:

	Group	
	2025 RM'000	2024 RM'000
Within 1 year	6,362	3,160
More than 1 year and less than 2 years	6,590	6,362
More than 2 years and less than 5 years	29,284	35,874
	42,236	45,396

Recognition and measurement

Borrowing costs are capitalised as part of the cost of a qualifying asset if they are directly attributable to the acquisition, construction or production of that asset. Capitalisation of borrowing costs commences when the activities to prepare the asset for its intended use or sale are in progress and the expenditure and borrowing costs are incurred. Capitalisation of borrowing costs is suspended or ceased when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are interrupted or completed.

All other borrowing costs are recognised in profit or loss using the effective interest method in the period they are incurred. Borrowing costs consist of interest and other costs that the Group and the Company incurred in connection with the borrowing of funds.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 PROVISION FOR WARRANTIES

	Group	
	2025 RM'000	2024 RM'000
At 1 January	1,953	1,773
Additions	1,670	2,109
Utilisation	(426)	(284)
Unused provision reversed	(2,247)	(1,641)
Effect of exchange rate changes	(12)	(4)
At 31 December	938	1,953

Recognition and measurement

The Group recognises the estimated liability to repair or replace products when the underlying products or services are sold. The provision is calculated based on historical warranty data and specific circumstances related to products or services sold, after considering the various possible outcomes against their associated probabilities. It is expected that most of these costs will be incurred over the warranty period of 1 year (2024: 1 year).

23 REVENUE

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation from 5.12.2023 to 31.12.2024 RM'000
<u>Revenue from contracts with customers is represented by:</u>				
<u>Over time</u>				
Contract revenue:				
- EPCC of steam and gas-fired energy systems and auxiliary facilities	112,111	99,757	-	-
- Spare parts and after-sales services	17,030	21,306	-	-
- Management fee	-	-	5,328	-
	129,141	121,063	5,328	-
<u>Point in time</u>				
Steam generator systems	55,566	63,095	-	-
Palm oil milling equipment	11,847	19,764	-	-
Spares parts and after-sales services	69,983	72,793	-	-
	137,396	155,652	-	-
<u>Revenue from other source</u>				
Dividend income	-	-	13,020	50,100
	266,537	276,715	18,348	50,100

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

23 REVENUE (CONTINUED)

(a) Revenue from contracts with customers

(i) Contract revenue

Contract revenue with customers includes contracts relating to manufacturing of steam energy systems, auxiliary facilities and spare parts along side with comprehensive after-sales services which are recognised progressively based on the progress towards complete satisfaction of the performance obligation.

Revenue is recognised over time when control of the asset is transferred over time and the Group's performance does not create an asset with an alternative use to the Group and the Group has an enforceable right to payment for performance completed to date.

The progress towards complete satisfaction of the performance obligation is measured based on the Group's efforts or inputs to the satisfaction of the performance obligation (eg. by reference to costs incurred up to the end of the reporting period as a percentage of total estimated costs for complete satisfaction of the contract).

Revenue is recognised over the period of the contract by reference to the progress, based on the extent of contract costs incurred. Significant judgement is required in the estimation of the progress towards complete satisfaction of a performance obligation based on the extent of contract costs incurred over the estimated budget cost and the recoverability of the construction contracts. The estimated contract costs to completion is based on estimated and approved budgets, which require assessment and judgements to be made on changes in, for example, work scope, costs and costs to completion. In making these judgements, management relies on past experience.

(ii) Sales of steam generator systems, palm oil milling equipment, auxiliary facilities and spare parts

The Group sells a range of steam generator systems, palm oil milling equipment, auxiliary facilities and manufactures and sells spare parts alongside with comprehensive after-sales services which are recognised at a point in time when control of the goods are transferred to the customer upon delivery.

(iii) Management fee

Management fee is recognised on an accrual basis when service is rendered.

(b) Revenue from other sources

(i) Dividend income

Dividend income is recognised when the right to receive payment is established.

24 COST OF SALES

	Group	
	2025 RM'000	2024 RM'000
Contract costs	94,263	89,993
Cost of goods sold	94,368	109,207
	188,631	199,200

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

25 PROFIT FROM OPERATIONS

	Note	Group		Company	
		2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
Profit from operations is stated after charging:					
<u>Cost of sales</u>					
Project cost		19,317	14,679	-	-
Raw materials consumed		115,729	133,791	-	-
Sub-contractor fees		24,112	20,388	-	-
Property, plant and equipment:					
- depreciation	4	1,765	1,495	-	-
Rental expenses:					
- equipment		537	259	-	-
- staff quarters		66	65	-	-
Net (reversal)/provision of warranty	22	(577)	468	-	-
Staff costs	26(b)	13,017	12,895	-	-
<u>Selling and distribution expense</u>					
Staff costs	26(b)	4,374	4,373	-	-
<u>Administrative and general expenses</u>					
Auditors' remuneration:					
Fees for statutory audits					
- PricewaterhouseCoopers PLT		234	234	60	60
- others		25	25	-	-
Fees for non-audit services					
- PricewaterhouseCoopers PLT		1,459	-	1,459	-
- member firms of PricewaterhouseCoopers International Limited		655	46	570	-
Allowance for slow moving inventories		753	214	-	-
Loss on disposal of joint venture		18	-	-	-
Listing expenses		5,940	-	5,940	-
Management fees		-	4,311	-	-
Property, plant and equipment:					
- depreciation	4	1,449	1,273	19	1
- written off	4	6	8	-	-
Realised loss on foreign currency exchange		1,030	476	-	-
Rental expenses:					
- equipment		110	140	-	-
- staff quarters		-	13	-	-
Staff costs	26(b)	18,257	17,487	3,574	1,246

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

25 PROFIT FROM OPERATIONS (CONTINUED)

	Note	Group		Company	
		2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
And crediting:					
<u>Other operating income</u>					
Gain on disposal of:					
- property, plant and equipment		37	431	-	-
- asset held for sale		-	11,631	-	-
Unrealised gain on foreign currency exchange		461	520	-	-
Rental income		534	862	-	-
Reversal of allowance on slow moving inventories		313	128	-	-

26 STAFF COSTS

(a) Directors' remuneration

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
<u>Executive director</u>				
Wages, salaries and bonus	301	186	301	186
Defined contribution plans	95	25	95	25
	396	211	396	211
<u>Non-executive directors</u>				
Directors' fees	286	-	286	-
Directors' allowances	62	-	62	-
	348	-	348	-
Total directors' remuneration	744	211	744	211

The estimated monetary value of benefits-in-kind received and receivable by Directors from the Group and the Company are RM8,000 (2024: RM15,000) and RM8,000 (2024: RM15,000) respectively.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

26 STAFF COSTS (CONTINUED)

b) Staff costs (include Directors' remuneration)

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
Wages, salaries and bonus	32,737	31,894	3,221	1,115
Defined contribution plans	2,815	2,549	353	131
Provision for defined benefits scheme	96	312	-	-
	35,648	34,755	3,574	1,246

Recognition and measurement

(a) Short-term benefits

Salaries, wages, bonuses and social security contributions are recognised as an expense in the financial year/period in which the services are rendered by employees. Short-term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlements to future compensated absences, and short-term non-accumulating compensated absences such as sick leave are recognised when the absences occur. Non-monetary benefits such as medical care, housing and other staff related expenses are charged to the profit or loss as and when incurred.

(b) Post-employment benefits

The Group has post-employment benefit schemes in accordance with local conditions and practices in the countries in which it operates. These post-employment benefit schemes are defined contribution plans defined benefit scheme.

Defined contribution plan

A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods.

As required by law, the Company and its subsidiaries in Malaysia make contributions to the Employees Provident Fund which is a defined contribution plan, whereas subsidiaries in other countries make their respective local contributions, if required by law.

Defined benefit scheme

The subsidiary in Indonesia operates an unfunded defined benefit plan for its eligible employees where the Group is required to recognise a provision for employee service entitlements and usually depends on several factors such as age, years of service and compensation. The obligation under the defined benefit plan is determined based on the actuarial valuation carried out by an independent qualified actuary. The latest actuarial valuation of the plan in Indonesia was carried out on 31 December 2025.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

26 STAFF COSTS (CONTINUED)

Recognition and measurement (continued)

(b) Post-employment benefits (continued)

Defined benefit scheme (continued)

The principal assumptions used in respect of the unfunded defined benefits plan are as follows:

	Group	
	2025 %	2024 %
Discount rate	6.85	7.15
Future salary increase rate	10.00	10.00

Based on the method used to derive the present value of a defined benefits obligation using the projected unit credit method, it is estimated that a 1% change in either of the principal assumptions above would not have a significant impact to the defined benefit obligation of the Group.

The weighted average duration of the defined benefit obligation is 19.95 (2024: 19.72) for the Group.

The liability recognised in the statements of financial position in respect of the defined benefit plan is the present value of the defined benefit obligation as at the reporting date, which is calculated annually by an independent actuary using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates at the reporting date of government bonds that are denominated in Indonesian Rupiah, in which the benefits will be paid and that have terms to maturity approximating to the terms of the related defined benefit obligation.

Remeasurement arising from experience adjustments and changes in actuarial assumptions are recognised in profit or loss in the period in which they arise. Current and past service costs are recognised immediately in profit or loss.

Such contributions are recognised as an expense in the profit or loss in the financial year to which they relate.

27 FINANCE COSTS

	Group	
	2025 RM'000	2024 RM'000
<u>Finance costs</u>		
Interest charged on:		
- Intercompany loans	-	10
- Trade charges	59	169
- Term loans	2,428	2,098
	2,487	2,277

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

28 TAX EXPENSE

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
Current tax:				
- Malaysian income tax	8,260	11,446	625	24
- Foreign taxation	1,580	1,513	-	-
- Real property gains tax	-	1,632	-	-
- Capital gain tax	91	-	-	-
Total current tax recognised in profit or loss	9,931	14,591	625	24
Deferred tax (Note 9):				
- Malaysian income tax	1,028	2	(180)	-
- Foreign taxation	(110)	(8)	-	-
Total deferred tax recognised in profit or loss	918	(6)	(180)	-
Total tax expense	10,849	14,585	445	24
Current tax:				
- Current financial year/period	9,989	14,404	624	24
- (Over)/Under provision in prior financial year/period	(58)	187	1	-
Total tax expense recognised in profit or loss	9,931	14,591	625	24
Deferred tax (Note 9):				
- Originating and reversal of temporary differences	918	(6)	(180)	-
Total tax expense recognised in profit or loss	10,849	14,585	445	24

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

28 TAX EXPENSE (CONTINUED)

The numerical reconciliation between the taxation and the product of accounting profit multiplied by the statutory tax rate is as follows:

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
Profit before tax	37,183	53,625	7,481	48,838
Calculated at the Malaysian tax rate of 24% (2024: 24%)	8,924	12,870	1,795	11,721
Expenses not deductible for tax purposes	2,349	1,025	1,924	327
Income not subject to tax	(2)	(1,532)	(3,124)	(12,024)
(Over)/Under provision of taxation in prior financial year/period	(58)	187	1	-
Origination and reversal of temporary difference not recognised in prior years/period	(343)	559	(151)	-
Deferred tax assets not recognised	23	-	-	-
Effects from different tax rate in other countries	(131)	(140)	-	-
Share of results in joint venture	(4)	(16)	-	-
Real property gains tax	-	1,632	-	-
Capital gain tax	91	-	-	-
Total tax expense	10,849	14,585	445	24

Recognition and measurement

Current tax expense is determined according to the tax laws of each jurisdiction in which the Group and the Company operate and include all taxes based upon the taxable profits after taking into consideration available tax incentives.

Current taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

29 EARNINGS PER SHARE ATTRIBUTABLE TO OWNERS OF THE COMPANY

In determining the weighted average number of shares as at 31 December 2025, the 390,638,000 ordinary shares issued by the Company include all other newly issued shares as disclosed in Note 19.

In determining the weighted average number of shares as at 31 December 2024, the 377,693,100 ordinary shares issued by the Company includes the 10,000 ordinary shares issued by the Company upon incorporation on 5 December 2023, the 114,990,000 ordinary shares issued by the Company in connection with the acquisition of 100% equity interest in Wasco AgroTech Sdn. Bhd. and 60% equity interest in Wasco Thermal Sdn. Bhd. from Wasco Process Engineering Sdn. Bhd., a fellow subsidiary on 30 December 2024 and the 262,693,100 bonus shares issued by the Company to its holding company, Wasco Berhad on 28 October 2025 which were treated as if these bonus shares had been issued since the beginning of the earliest year presented.

(a) Basic earnings per ordinary share

	Group	
	2025 RM'000	2024 RM'000
Profit attributable to ordinary shareholders (RM'000)	22,717	34,308
Weighted average number of shares ('000)	390,638	377,693
Basic earnings per share (sen)	5.82	9.08

(b) Diluted earnings per ordinary share

Diluted earnings per ordinary share equal the basic earnings per ordinary share as there were no outstanding dilutive ordinary shares at the end of each reporting periods.

30 DIVIDENDS

On 12 February 2026, the Directors declared an interim single tier cash dividend of 2.00 sen per share amounting to RM10,000,000 for the financial year ended 31 December 2025. The dividend entitlement date was on 2 April 2026 and will be paid to the shareholders on 17 April 2026. This dividend will be accounted for in equity as an appropriation of retained earnings in the financial year ending 31 December 2026.

The Directors did not declare any dividend in the corresponding prior financial period.

Recognition and measurement

Dividend distribution to owners of the Company is debited directly to equity and the corresponding liability is recognised in the period in which the dividends are approved. Liability is recognised for the amount of any dividend declared, being appropriately authorised and no longer at the discretion of the Company, on or before the end of the reporting period but not distributed at the end of the reporting period.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

31 SIGNIFICANT RELATED PARTY TRANSACTIONS

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Company and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

The related party relationships are as follows:

Related parties	Relationship
Wasco Berhad	Holding company
Wasco Thermal Sdn. Bhd.	Subsidiary
Wasco AgroTech Sdn. Bhd.	Subsidiary
Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)*	Joint venture
Wasco Process Engineering Sdn. Bhd.	Fellow subsidiary
Wasco Management Services Sdn. Bhd.	Fellow subsidiary
Wasco Capital Sdn. Bhd.	Fellow subsidiary
Petro-Pipe Industrial Corporation Sdn. Bhd.	Fellow subsidiary
WDG Resources Sdn. Bhd.**	Fellow subsidiary

* On 7 July 2025, the Group entered into a share sale and purchase agreement to dispose off its entire equity interest of 49% in the joint venture, Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.) ("Shinko"). Disposal of Shinko had been completed on 16 July 2025.

** On 24 August 2023, the holding company, Wasco Berhad has decided to divest its trading businesses, namely WDG Resources Sdn. Bhd. ("WDG"). Disposal of WDG had been completed on 30 June 2024.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

31 SIGNIFICANT RELATED PARTY TRANSACTIONS (CONTINUED)

All related party transactions were carried out on terms and conditions negotiated amongst the related parties. In addition to related party disclosures mentioned elsewhere in the financial statements, set out below are other significant related party transactions:

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of Incorporation, 5.12.2023 to 31.12.2024 RM'000
<u>Sales to a joint venture:</u>				
- Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)*	2	24	-	-
<u>Purchase from a fellow subsidiary:</u>				
- Wasco Process Engineering Sdn. Bhd.	134	513	-	-
<u>Purchase from a joint venture:</u>				
- Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)*	10,227	26,443	-	-
<u>Management fees from subsidiaries:</u>				
- Wasco AgroTech Sdn. Bhd.	-	-	2,664	-
- Wasco Thermal Sdn. Bhd.	-	-	2,664	-
<u>Management fees to fellow subsidiaries:</u>				
- Wasco Management Services Sdn. Bhd.	-	3,160	-	-
- Wasco Process Engineering Sdn. Bhd.	-	1,151	-	-
<u>Dividend income receivable from subsidiaries:</u>				
- Wasco AgroTech Sdn. Bhd.	-	-	10,020	50,100
- Wasco Thermal Sdn. Bhd.	-	-	3,000	-
<u>Interest income receivable from holding company:</u>				
- Wasco Berhad	-	588	-	-
<u>Interest income receivable from fellow subsidiaries:</u>				
- Wasco Process Engineering Sdn. Bhd.	-	21	-	-
- Wasco Capital Sdn. Bhd.	252	134	104	-
<u>Interest payable to a fellow subsidiary:</u>				
- Wasco Process Engineering Sdn. Bhd.	-	10	-	-
<u>Rental from joint venture:</u>				
- Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)*	149	298	-	-

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

31 SIGNIFICANT RELATED PARTY TRANSACTIONS (CONTINUED)

All related party transactions were carried out on terms and conditions negotiated amongst the related parties. In addition to related party disclosures mentioned elsewhere in the financial statements, set out below are other significant related party transactions: (continued)

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of incorporation, 5.12.2023 to 31.12.2024 RM'000
<u>Rental from fellow subsidiaries:</u>				
- WDG Resources Sdn. Bhd.**	-	337	-	-
- Petro-Pipe Industrial Corporation Sdn. Bhd.	146	137	-	-
<u>Purchase of property, plant and equipment from holding company:</u>				
- Wasco Berhad	-	12	-	-
<u>Sales of property, plant and equipment to a fellow subsidiary:</u>				
- Wasco Process Engineering Sdn. Bhd.	-	200	-	-
<u>Purchase of property, plant and equipment from a fellow subsidiary:</u>				
- Wasco Process Engineering Sdn. Bhd.	-	475	-	-
<u>Other income from fellow subsidiaries:</u>				
- Petro-Pipe Industrial Corporation Sdn. Bhd.	36	12	-	-
- Wasco Process Engineering Sdn. Bhd.	-	100	-	-
<u>Advance to holding company:</u>				
- Wasco Berhad	-	40,080	-	-
<u>Repayment from holding company:</u>				
- Wasco Berhad	-	40,080	-	-
<u>Advance to a fellow subsidiary:</u>				
- Wasco Capital Sdn. Bhd.	15,000	10,000	7,000	-
<u>Advance from a fellow subsidiary:</u>				
- Wasco Process Engineering Sdn. Bhd.	-	2,000	-	-
<u>Repayment to a fellow subsidiary:</u>				
- Wasco Process Engineering Sdn. Bhd.	-	2,000	-	-
<u>Repayments from fellow subsidiaries:</u>				
- Wasco Process Engineering Sdn. Bhd.	-	6,000	-	-
- Wasco Capital Sdn. Bhd.	15,000	21,050	7,000	-

NOTES TO THE FINANCIAL STATEMENTS
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31 SIGNIFICANT RELATED PARTY TRANSACTIONS (CONTINUED)

All related party transactions were carried out on terms and conditions negotiated amongst the related parties. In addition to related party disclosures mentioned elsewhere in the financial statements, set out below are other significant related party transactions: (continued)

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of Incorporation, 5.12.2023 to 31.12.2024 RM'000
<u>Issuance of shares to holding company:</u>				
- Wasco Berhad	262,693	114,990	-	-
<u>Prepayment to joint venture:</u>				
- Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)*	-	2,076	-	-

Outstanding balances with related parties at financial year/period end are as follows:

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
<u>Amounts owing by subsidiaries:</u>				
- Wasco AgroTech Sdn. Bhd.	-	-	2,664	-
- Wasco Thermal Sdn. Bhd.	-	-	2,694	-
<u>Amounts owing by fellow subsidiaries:</u>				
- Wasco Process Engineering Sdn. Bhd.	-	2	-	-
- Petro-Pipe Industrial Corporation Sdn. Bhd.	82	62	-	-
<u>Amounts owing to fellow subsidiaries:</u>				
- Wasco Management Services Sdn. Bhd.	(9)	(1,490)	-	-
- Wasco Process Engineering Sdn. Bhd.	-	(181)	-	-
<u>Amount owing by joint venture:</u>				
- Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)	-	4	-	-
<u>Amount owing to joint venture:</u>				
- Shinko Industries Malaysia Sdn. Bhd. (formerly known as Shinko Wasco Turbine Sdn. Bhd.)	-	(5,438)	-	-

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

31 SIGNIFICANT RELATED PARTY TRANSACTIONS (CONTINUED)

Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel included Director of the Group and certain members of senior management of the Group. Key management personnel of the Company are the Executive Directors and senior management of the Company.

Key management compensation (including Executive Directors' remuneration) is as follows:

	Group		Company	
	2025 RM'000	2024 RM'000	Financial year ended 31.12.2025 RM'000	Date of Incorporation, 5.12.2023 to 31.12.2024 RM'000
- short-term employee benefits (including monetary value of benefits-in-kind)	2,375	1,932	2,219	407
- post-employment benefits	284	232	265	49

32 FINANCIAL INSTRUMENTS BY CATEGORY

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
<u>Financial assets</u>				
Financial assets at amortised cost:				
- Trade and other receivables	33,752	40,869	248	579
- Amounts owing by subsidiaries	-	-	5,358	-
- Amounts owing by fellow subsidiaries	82	64	-	-
- Amounts owing by joint venture	-	4	-	-
- Time deposits	107,100	37,630	80,000	8,430
- Cash and bank balances	31,704	17,152	4,725	63
Total	172,638	95,719	90,331	9,072
<u>Financial liabilities</u>				
Financial liabilities at amortised cost:				
- Trade and other payables (exclude defined benefit scheme)	34,319	43,976	1,902	888
- Amounts owing to fellow subsidiaries	9	1,671	-	-
- Amount owing to joint venture	-	5,438	-	-
- Borrowings	42,236	45,396	-	-
Total	76,564	96,481	1,902	888

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group's and the Company's overall financial risk management objectives and policies are to ensure that the Group and the Company create value and optimise returns for its shareholders. Financial risk management is carried out through risk review, internal control systems, benchmarking to the industry's best practices and adherence to the Group's financial risk management policies.

The main risks arising from the financial instruments of the Group and the Company are credit risk, market risk, and liquidity risk. Management monitors the Group's and the Company's financial position closely with the objective to minimise potential adverse effects on the financial performance of the Group and the Company.

The following sections provide details regarding the Group's and the Company's exposure to the above mentioned financial risks and the objectives, policies and processes for managing these risks.

Credit risk

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the Group and the Company.

At the reporting date, the Group's and the Company's maximum exposure to credit risk is represented by the carrying amounts of each class of financial assets recognised in the statements of financial position.

(a) Receivables

The Group's and the Company's exposure to credit risk is monitored on an ongoing basis. The Group and the Company have credit policies in place to manage the credit risk exposure. The risk is managed through the application of the Group's and the Company's credit management procedures which include the application of credit evaluations or approvals and follow up procedures.

The Group and the Company actively monitor the utilisation of credit limits to manage the risk of any material loss from the non-performance of its counterparties.

Simplified approach for trade receivables and contract assets (including intercompany trade balances)

The Group and the Company apply simplified approach to provide for expected credit loss ("ECL"), which permits the use of the lifetime expected loss provision for all trade receivables and contract assets. The Group and the Company account for its credit risk by appropriately providing for ECL on timely basis. In calculating credit loss rate, trade receivables and contract assets are assessed based on credit risk categories and the days past due and considered the forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. Trade receivables that are determined to be impaired at the reporting date relate to debtors that are in significant financial difficulties and have defaulted on payments. Their receivables are not secured by any collateral.

Financial assets are written off when there is no reasonable expectation of recovery, such as a debtor failing to engage in a repayment plan with the Group and the Company. The Group and the Company categorises a receivable for write-off when a debtor fails to make contractual payments and the recoverability of the receivables is remote. Where receivables have been written off, the Group and the Company continue to engage in enforcement activity to attempt to recover the receivable due. Where recoveries are made, these are recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

Credit risk (continued)

(a) Receivables (continued)

General 3-stage approach for other debt instruments financial assets

ECL for other debt instruments financial assets at amortised costs, which include other receivables, non-trade intercompany balances, time deposits and cash and bank balance are considered to have low credit risk, as there were low risks of defaults and historically there were minimal instances where contractual cash flow obligations have not been met.

The Group and the Company use three categories to reflect their credit risk and how the loss allowance is determined for each of those categories. A summary of the assumptions underpinning the Group's and the Company's ECL model is as follows:

Category	Group's and Company's definition of category	Basis for recognising ECL
Performing	Debtors have a low risk of default and a strong capacity to meet contractual cash flows.	12-month ECL
Underperforming	Debtors for which there is a significant increase in credit risk or significant increase in credit risk is presumed if the forward-looking information and indicators available signify impairment to debtors' ability to repay.	Lifetime ECL
Not performing	Debtors' ability to repay or likelihood of repayment is determined as fully impaired when it meets one or more of the indicators.	Lifetime ECL (credit impaired)

Based on the above, loss allowance is measured on either 12-month ECL or lifetime ECL, by considering the likelihood that the debtor would not be able to repay during the contractual period, the percentage of contractual cash flows that will not be collected if default happens and the outstanding amount that is exposed to default risk. No significant changes to estimation techniques or assumptions were made during the reporting period.

There is no loss allowance for other financial assets at amortised cost as at 31 December 2025 and 31 December 2024, except for trade and other receivables.

For movement of allowance for impairment of trade receivables and other receivables, refer to Note 12 to the financial statements.

(b) Intercompany balances

The Group provides unsecured loans and advances to its fellow subsidiaries. The Group monitors the results of its fellow subsidiaries regularly.

As at 31 December 2025 and 31 December 2024, the maximum exposure to credit risk is represented by their carrying amounts in the statement of financial position.

Management has taken reasonable steps to ensure that the receivables from its fellow subsidiaries are stated at the realisable values. As at 31 December 2025 and 31 December 2024, there was no indication that the loans and advances extended to the fellow subsidiaries are not recoverable.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Intercompany balances (continued)

Advances to fellow subsidiaries

Advances are classified as amortised cost in the Group's and the Company's financial statements because the Group's and the Company's business model is to hold and collect the contractual cash flows and those cash flows represent solely payments of principal and interest. The Group and the Company applied the general 3-stage approach when determining ECL for these advances to fellow subsidiaries.

There is no loss allowance recognised on these advances to fellow subsidiaries as all strategies indicate that the Group and the Company could fully recover the outstanding balance of the advances to its fellow subsidiaries.

(c) Time deposits and cash and bank balances

Time deposits and cash and bank balances are placed with approved financial institutions and reputable banks. The likelihood of non-performance by these financial institutions is remote based on their high credit ratings.

Financial guarantees

During the financial year, the Company provides unsecured financial guarantees to banks in respect of banking facilities granted to certain subsidiaries. The Company monitors on an ongoing basis the results of the subsidiaries and repayment made by the subsidiaries.

The maximum exposure to credit risk amounts to RM98,626,000 representing banking facilities granted to the subsidiaries as at the end of the financial year.

Financial guarantee contracts are recognised initially as a liability at fair value. Subsequent to initial recognition, the liability is measured at the higher of the amount determined in accordance with the ECL model under MFRS 9 'Financial Instruments' and the amount initially recognised less cumulative amount of income recognised in accordance with the principles of MFRS 15 'Revenue from Contracts with Customers', where appropriate.

As at 31 December 2025, there was no indication that any subsidiary would default on repayment. All of the financial guarantee contracts are considered to be performing, have low risks of default and historically there were no instances where these financial guarantee contracts were called upon by the parties of which the financial guarantee contracts were issued to. Accordingly, no loss allowance was identified based on 12 months ECL.

Financial guarantees have not been recognised since the fair value on initial recognition was not material as the probability of the subsidiaries defaulting on its banking facilities is remote.

Market risk

Market risk refers to the risk that changes in market prices, such as foreign exchange rates, interest rates and prices will affect the Group's and the Company's financial position and cash flows.

(a) Foreign currency risk

Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

The Group has transactional currency exposures arising from sales and purchases that are denominated in a currency other than the functional currencies of the Group entities. The foreign currencies giving rise to this risk are primarily United States Dollar ("USD"), Japanese Yen ("JPY") and Euro Dollar ("EUR") for the Group.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

Market risk (continued)

Market risk refers to the risk that changes in market prices, such as foreign exchange rates, interest rates and prices will affect the Group's and the Company's financial position and cash flows. (continued)

(a) Foreign currency risk (continued)

The Group is mainly exposed to fluctuations in the United States Dollar exchange rate against the respective functional currencies of the Group entities. The Group considers that the foreign currency risk attributable to currencies other than the United States Dollar to be insignificant.

The Group's exposure to foreign currency (a currency which is other than the currency of the Group entities) risk, based on carrying amounts as at the end of the reporting period was:

Group	Denominated in		
	USD RM'000	JPY RM'000	EUR RM'000
<u>31 December 2025</u>			
Cash and cash equivalents	5,877	3,880	20
Trade and other receivables	4,298	288	-
Trade and other payables	(2,464)	(2,968)	-
Net exposure	7,711	1,200	20
<u>31 December 2024</u>			
Cash and cash equivalents	3,218	3,688	19
Trade and other receivables	7,176	6,095	-
Trade and other payables	(7,419)	(2,339)	(10)
Amount due to joint venture	-	(5,438)	-
Net exposure	2,975	2,006	9

The Group maintains a natural hedge, whenever possible, by maintaining receivables and payables in matching foreign currencies. Foreign exchange exposures in transactional currencies other than the functional currencies of the operating entities are kept to an acceptable level.

The Group also uses forward currency contracts to minimise exposure on currency fluctuations for which receipts or payments are anticipated more than one month after the Group has entered into a firm commitment for a sale or purchase. The forward currency contracts entered are in the same currency as the hedged item. It is the Group's policy to negotiate the terms of the forward currency contracts to match the terms of the hedged item to maximise its effectiveness.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

Market risk (continued)

Market risk refers to the risk that changes in market prices, such as foreign exchange rates, interest rates and prices will affect the Group's financial position and cash flows. (continued)

(a) Foreign currency risk (continued)

The following table demonstrates the sensitivity of a 5% change in the United States Dollar's exchange rate to the Group's pre-tax profit.

	Group	
	2025 RM'000	2024 RM'000
- strengthened 5%	386	149
- weakened 5%	(386)	(149)

(b) Cash flow and fair value interest rate risk

Cash flow interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Fair value interest rate risk is the risk that the fair value of a financial instrument will fluctuate due to changes in market interest rates.

The Group's and the Company's exposure to interest rate risks relates primarily to the time deposits and interest bearing borrowings.

Surplus funds are placed with licensed financial institutions to earn interest income based on prevailing market rates. The Group and the Company manage its interest rate risks by placing such funds on short tenures of 12 months or less.

The Group generally borrows principally on a floating rate basis and ensures that interest rates obtained are competitive.

The interest rate profile of the Group's significant interest bearing borrowing rates has been presented in Note 21.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

Liquidity risk

Liquidity risk is the risk that the Group or the Company will not be able to meet its financial obligations as they fall due. The Group's and the Company's exposure to liquidity risk arises principally from its payables and borrowings. The Group and the Company maintain a level of cash and cash equivalents and bank facilities deemed adequate by the management to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due.

All financial liabilities of the Group and the Company that will be due and payable within the next 12 months are classified within current liabilities. The Group and the Company did not have any derivative financial liabilities as at 31 December 2025 and 31 December 2024. The contractual cash flows of non-derivative financial liabilities are presented below:

Group	Within 1 year RM'000	More than 1 year and less than 2 years RM'000	More than 2 years and less than 5 years RM'000	Total contractual undiscounted cash flows RM'000	Total carrying amount RM'000
<u>2025</u>					
<u>Non-derivative financial liabilities</u>					
Trade and other payables	34,319	-	-	34,319	34,319
Amount owing to fellow subsidiaries	9	-	-	9	9
Borrowings	8,383	8,268	30,891	47,542	42,236
	42,711	8,268	30,891	81,870	76,564
<u>2024</u>					
<u>Non-derivative financial liabilities</u>					
Trade and other payables	43,976	1,677	-	45,653	45,653
Amount owing to fellow subsidiaries	1,671	-	-	1,671	1,671
Amount owing to joint venture	5,438	-	-	5,438	5,438
Borrowings	5,626	8,512	39,370	53,508	45,396
	56,711	10,189	39,370	106,270	98,158

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

Liquidity risk (continued)

All financial liabilities of the Group and the Company that will be due and payable within the next 12 months are classified within current liabilities. The Group and the Company did not have any derivative financial liabilities as at 31 December 2025 and 31 December 2024. The contractual cash flows of non-derivative financial liabilities are presented below: (continued)

Company	Within 1 year RM'000	Total contractual undiscounted cash flows RM'000	Total carrying amount RM'000
<u>2025</u>			
<u>Non-derivative financial liabilities</u>			
Trade and other payables	1,902	1,902	1,902
Financial guarantee contracts	98,626	98,626	-
<u>2024</u>			
<u>Non-derivative financial liabilities</u>			
Trade and other payables	888	888	888

34 CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and optimise shareholder value. The Group considers capital and reserves attributable to owners of the Company as capital.

The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the financial year ended 31 December 2025 and 31 December 2024.

The Group is required to comply with certain financial covenants on the term loan borrowings as disclosed in Note 21. The key financial covenants are debts to EBITDA ratio of 4.25 times and debt service cover ratio of 1.5 times. The Group performs debt covenant assessment every six months and has complied with their financial covenants during the financial year and up to the date of this report.

35 CONTINGENT ASSETS AND CONTINGENT LIABILITIES

As disclosed in Note 37 on the material litigation between Kilang Sawit Lembing Sdn. Bhd. ("KSLS") and Wasco Thermal Sdn. Bhd. ("WTSB"), the Kuantan High Court ("Court") had allowed KSLS's claims, amongst others, RM930,000 for the cost of replacement and repair works of the Boiler and RM1,576,000 for consequential costs incurred as a result of the Alleged Breach. The Court also granted WTSB's counter-claims for the unpaid balance sum due from KSLS of RM481,000 and the late payment interest of RM275,000 totalling RM756,000. The amount due from KSLS of RM481,000 was included as part of the Group's trade receivable balances as at 31 December 2025 and after subjecting to ECL assessment, it was fully provided. The Board of Directors assessed the late payment interest of RM275,000 as a contingent asset and accordingly, this amount was not recognised as at 31 December 2025.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

35 CONTINGENT ASSETS AND CONTINGENT LIABILITIES (CONTINUED)

Pending the detailed assessment proceeding by the Court, WTSB had on 26 November 2025 filed an appeal against the decision of the Court. Subsequently on 18 December 2025, WTSB had filed an application for stay of the assessment proceedings pending the appeal.

The Board of Directors, after consulting the external legal counsel, is of the opinion that it is not probable that the Group will be required to incur an outflow of resources to settle the obligations. Accordingly, KSLS's claims against the Group and the resulting Court order for RM2,506,000 have not been recognised as a provision on the consolidated statement of financial position as at 31 December 2025, but was disclosed as a contingent liability of the Group.

Recognition and measurement

The Group does not recognise contingent assets and liabilities, but discloses its existence in the financial statements. A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Group or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in the extremely rare case where there is a liability that cannot be recognised because it cannot be measured reliably. However, contingent liabilities do not include financial guarantee contracts. A contingent asset is a possible asset that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Group. The Group does not recognise contingent assets but discloses its existence where inflows of economic benefits are probable, but not virtually certain.

36 CAPITAL COMMITMENTS

Capital expenditure as at the reporting date is as follows:

	Group		Company	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Commitment to acquire property, plant and equipment not provided for in the financial statements:				
- Approved and contracted	1,992	1,477	28	-

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

37 SIGNIFICANT EVENTS

Material litigation

Kilang Sawit Lembing Sdn. Bhd. ("KSLS" or "Plaintiff") commenced a suit ("Suit") against WTSB ("Defendant") at the Kuantan High Court ("Court") by issuing a Writ of Summons to WTSB on 1 June 2020, alleging that the bi-drum water tube system boiler ("Boiler") supplied by WTSB was unfit for its intended purpose due to inherent pitting in the boiler tubes ("Alleged Breach"). KSLS claimed, amongst others, RM930,000 for the cost of replacement and repair works of the Boiler and RM1,576,000 for consequential costs incurred as a result of the Alleged Breach.

In response, WTSB filed a defence stating that the pitting resulted from KSLS's water treatment to the Boiler during operations. WTSB also filed a counter-claim on 10 July 2020 for:

- (i) a sum of RM481,000 being the outstanding and unpaid sums payable by KSLS to WTSB pursuant to the agreement between KSLS and WTSB; and
- (ii) RM275,000 being late payment interest at the rate of 1.5% per month on the unpaid amounts due and outstanding as at 1 July 2020.

The Court issued its decision on 29 October 2025 and awarded the sum of RM930,000 as damages for the cost of replacement and repair works of the Boiler. Further, the Court clarified on 16 December 2025 that KSLS is also entitled to consequential costs amounting to RM1,576,000 for the Alleged Breach. At the same time, WTSB was successful in obtaining the sum of RM481,000 being the unpaid amount due and owing by KSLS to WTSB under the Agreement and RM275,000 being the late payment interest sum.

All amounts arising from the Court's decision will be subjected to the determination of the assessment proceedings which will be decided in the future. Accordingly, no amount arising from the Court's decision can be determined with certainty until the completion of the proceedings.

However, the external legal counsel believes that WTSB has reasonable grounds to appeal the Court's decision before the Court of Appeal. This arises from the interpretation and application of certain legal principles, specifically that the Defendant bore the burden of proving their case against the Plaintiff, rather than vice versa. Therefore, the external legal counsel is of the opinion that WTSB has strong grounds that its appeal at the Court of Appeal will likely succeed.

WTSB filed an appeal to the Court of Appeal against the Court's decision on 26 November 2025 and the case management was fixed on 11 May 2026. In addition, WTSB filed an application for a stay of the assessment proceedings with the Court on 18 December 2025, and the hearing is scheduled for 5 May 2026.

38 APPROVAL OF FINANCIAL STATEMENTS

These financial statements have been authorised for issue in accordance with a resolution of the Board of Directors on 3 April 2026.

DISCLOSURE OF FINANCIAL DATA FOR SHARIAH SCREENING

Pursuant to Paragraph 9.25A of the Main Market Listing Requirements, below are the financial data that are relevant for purpose of Shariah screening by the Shariah Advisory Council of the Securities Commission Malaysia. These include financial data on Shariah non-permissible income arising from the Group's business activities and interest-based financial position.

(a) Group Total Income and Total Assets

Total Income	Remarks	Group	
		2025 RM	2024 RM
Revenue		266,537,342	276,714,695
Other income		3,701,080	16,605,193
Others	Share of profit from jointly controlled entities	18,577	65,700
Total		270,256,999	293,385,588
Total Assets		386,706,956	313,491,226

(b) Business Activities

Shariah Non-Compliant Activities	Remarks	Group	
		2025 RM	2024 RM
Interest income		1,058,418	1,952,141
Total		1,058,418	1,952,141

DISCLOSURE OF FINANCIAL DATA FOR SHARIAH SCREENING

(c) Component of Financial Position

(i) Cash Component

Islamic Account/Instruments	Remarks	Group	
		2025 RM	2024 RM
Cash and bank balances (exclude cash in hand)		3,535,316	-
Short-term deposits		80,000,000	-
Total Cash		83,535,316	-
Conventional Account/Instruments			
Cash and bank balances (exclude cash in hand)		28,168,415	17,152,804
Short-term deposits		27,100,000	37,630,000
Total Cash		55,268,415	54,782,804

(ii) Debt Component

		Group	
		2025	2024
Conventional Borrowing	Remarks	RM	RM
Current			
Term loans		6,362,000	3,160,000
Non-Current			
Term loans		35,873,800	42,235,800
Total Debt		42,235,800	45,395,800

TOP 5 LIST OF PROPERTIES

As At 31 December 2025

Title/Location	Description/ Existing use	Approximate age of the building	Approximate land/build up area	Tenure	Audited NBV as at 31/12/2025 RM'000
Geran 32547 Lot 1945, Jalan Sungai Terap 32/173, Bukit Kemuning, Seksyen 32, 40460 Shah Alam, Selangor Darul Ehsan	Detached factory and warehouse together with office building	17 years	18,186.00 sq m (Land) 9,205.57 sq m (Building)	Freehold	34,913
Geran 32546 Lot 1944, Jalan Sungai Terap 32/173, Bukit Kemuning, Seksyen 32, 40460 Shah Alam, Selangor Darul Ehsan	Detached factory and warehouse together with office building	14 years	18,211.00 sq m (Land) 6,498.00 sq m (Building)	Freehold	31,820
Geran 339016 and 339017 Lot 126257 and 15844, Jalan Bukit Kemuning, Seksyen 32, 40460 Shah Alam, Selangor Darul Ehsan	2 1/2 storey office and single storey factory building	18 years	16,108.00 sq m (Land) 9,509.09 sq m (Building)	Freehold	26,907
CL075599469 and CL075599478 Lot 3 and 4, Mile 9, Jalan Hiew Ngee Fatt off Jalan Labuk, PPM 402 Elopura, 90000 Sandakan, Sabah	2-storey semi- detached office cum 1-storey open shed workshop building	10 years	2,354.00 sq m (Land) 557.40 sq m (Building)	Leasehold 99 years expiring on 31 Dec 2113	2,715
Lot 15479 and 15480 Sublot 22B, Lot 15479 and Sublot 23B, Lot 15480, Block 32, Nyabau Industrial Park, Kemena Land District, Jalan Tun Hussein Onn, 97000 Bintulu, Sarawak	2-storey semi- detached industrial building	10 years	1,444.80 sq m (Land) 360.00 sq m (Building)	Leasehold 60 years expiring on 20 Jan 2079	2,071

ANALYSIS OF SHAREHOLDINGS

Ordinary Shares

Share Capital as at 31 March 2026

Total number of Issued Shares	:	500,000,000
Class of Equity Securities	:	Ordinary Shares
Stock Name	:	GENERGY
Voting Rights	:	On a poll - one (1) vote per ordinary share held
Total Shareholders	:	2,566

Distribution of Shareholders as at 31 March 2026

Size of Shareholdings	No. of Shareholders	%	No. of Shares	%
Less than 100	10	0.3897	231	0.0000
100 - 1,000	600	23.3827	289,969	0.0580
1,001 - 10,000	1,249	48.6750	5,972,700	1.1945
10,001 - 100,000	532	20.7327	17,277,300	3.4555
100,001 to less than 5% of issued shares	173	6.7420	126,459,800	25.2920
5% and above of issued share	2	0.0779	350,000,000	70.0000
Total	2,566	100.0000	500,000,000	100.0000

List of Substantial Shareholders as at 31 March 2026

No.	Name of Substantial Shareholders	No. of Ordinary Shares			
		Interest	%	Deemed Interest	%
1.	Wasco Berhad	312,693,100	62.5386	-	-
2.	Wah Seong (Malaya) Trading Co. Sdn. Bhd.	-	-	312,693,100 ⁽¹⁾	62.5386
3.	Tan Kim Yeow Sendirian Berhad	-	-	312,693,100 ⁽²⁾	62.5386
4.	Tan Chin Nam Sendirian Berhad	-	-	312,693,100 ⁽²⁾	62.5386
5.	Dato' Seri Robert Tan Chung Meng	-	-	312,693,100 ⁽³⁾	62.5386
6.	Pauline Tan Suat Ming	-	-	312,693,100 ⁽³⁾	62.5386
7.	Tony Tan Choon Keat	-	-	312,693,100 ⁽³⁾	62.5386
8.	Tema Energy Ventures Sdn. Bhd.	37,306,900	7.4614	-	-
9.	Tee Kian Lim	100,000	0.0200	37,306,900 ⁽⁴⁾	7.4614
10.	Teh Khim Choon	70,000	0.0140	37,306,900 ⁽⁴⁾	7.4614
11.	Soo Hock Tiong	50,000	0.0100	37,306,900 ⁽⁴⁾	7.4614

Notes :

- (1) Deemed interested through shares held in Wasco Berhad pursuant to Section 8 of the Companies Act 2016.
- (2) Deemed interested through shares held in Wasco Berhad and Wah Seong (Malaya) Trading Co. Sdn. Bhd. pursuant to Section 8 of the Companies Act 2016.
- (3) Deemed interested through shares held in Wasco Berhad, Wah Seong (Malaya) Trading Co. Sdn. Bhd. and Tan Kim Yeow Sendirian Berhad pursuant to Section 8 of the Companies Act 2016.
- (4) Deemed interested through shares held in Tema Energy Ventures Sdn. Bhd. pursuant to Section 8 of the Companies Act 2016.

ANALYSIS OF SHAREHOLDINGS

Directors' Shareholdings as at 31 March 2026

Name of Directors	No. of Ordinary Shares			
	Direct Interest	%	Deemed Interest	%
1. HALIM BIN HAJI DIN	100,000	0.0200	-	-
2. NG ING PENG	100,000	0.0200	-	-
3. RAMANATHAN A/L P.R. SINGARAM	254,000	0.0508	-	-
4. ROSLINA BINTI ABDUL RAHMAN	150,000	0.0300	-	-

Chief Executive Officer's Shareholding as at 31 March 2026

Name of Chief Executive Officer	No. of Ordinary Shares			
	Direct Interest	%	Deemed Interest	%
1. Lee Yee Chong	321,900	0.0644	-	-

Thirty (30) Largest Shareholders as at 31 March 2026

No.	Name	No. of Shares	%
1.	WASCO BERHAD	312,693,100	62.5386
2.	TEMA ENERGY VENTURES SDN. BHD.	37,306,900	7.4614
3.	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. <i>URUSHARTA JAMAAH SDN. BHD. (2)</i>	15,000,000	3.0000
4.	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. <i>KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (ABERDEEN)</i>	10,856,600	2.1713
5.	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. <i>EMPLOYEES PROVIDENT FUND BOARD (AMUNDI)</i>	7,750,000	1.5500
6.	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. <i>EMPLOYEES PROVIDENT FUND BOARD (ABERISLAMIC)</i>	6,400,000	1.2800
7.	CIMB ISLAMIC NOMINEES (TEMPATAN) SDN. BHD. <i>PMB INVESTMENT BERHAD FOR MAJLIS AMANAH RAKYAT</i>	6,000,000	1.2000
8.	PELABURAN MARA BERHAD	5,000,000	1.0000
9.	HSBC NOMINEES (TEMPATAN) SDN. BHD. <i>HSBC (M) TRUSTEE BHD FOR MANULIFE INVESTMENT SHARIAH PROGRESS PLUS FUND</i>	4,568,000	0.9136
10.	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. <i>KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (ABDN EQ ABSR FD)</i>	3,595,400	0.7191
11.	MAYBANK SECURITIES NOMINEES (TEMPATAN) SDN. BHD. <i>ONE IFC HOTEL SDN. BHD.</i>	3,000,000	0.6000
12.	CIMB GROUP NOMINEES (TEMPATAN) SDN. BHD. <i>CIMB ISLAMIC TRUSTEE BERHAD FOR PMB SHARIAH EQUITY FUND</i>	2,000,000	0.4000
13.	KENANGA INVESTMENT BANK BERHAD <i>EXEMPT AN FOR SENTOSA JAYA CAPITAL SDN. BHD.</i>	2,000,000	0.4000

ANALYSIS OF SHAREHOLDINGS

No.	Name	No. of Shares	%
14.	CITIGROUP NOMINEES (ASING) SDN. BHD. <i>UBS AG SINGAPORE FOR MACCAGNO GIAN CARLO</i>	1,974,700	0.3949
15.	CIMB GROUP NOMINEES (ASING) SDN. BHD. <i>EXEMPT AN FOR DBS BANK LTD (SFS)</i>	1,899,800	0.3800
16.	HSBC NOMINEES (TEMPATAN) SDN. BHD. <i>HSBC (M) TRUSTEE BHD FOR MANULIFE INVESTMENT PROGRESS FUND (4082)</i>	1,854,500	0.3709
17.	PHILLIP NOMINEES (TEMPATAN) SDN. BHD. <i>PLEDGED SECURITIES ACCOUNT FOR GOH LENG PHEOW</i>	1,600,000	0.3200
18.	HSBC NOMINEES (TEMPATAN) SDN. BHD. <i>HSBC (M) TRUSTEE BHD FOR MANULIFE FLEXI INVEST FUND</i>	1,599,900	0.3200
19.	AMANAHRAYATRUSTEES BERHAD <i>AMANAH SAHAM MARA</i>	1,560,000	0.3120
20.	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. <i>URUSHARTA JAMAAH SDN. BHD. (AMUNDI 2)</i>	1,500,000	0.3000
21.	UNIVERSAL TRUSTEE (MALAYSIA) BERHAD <i>KAFTACTICAL FUND</i>	1,500,000	0.3000
22.	SBC NOMINEES (TEMPATAN) SDN. BHD. <i>HSBC (M) TRUSTEE BHD FOR MANULIFE INVESTMENT AL-FAUZAN (5170)</i>	1,451,000	0.2902
23.	PERBADANAN USAHAWAN JOHOR SDN. BHD.	1,384,100	0.2768
24.	CARTABAN NOMINEES (TEMPATAN) SDN. BHD. <i>RHB TRUSTEES BERHAD FOR KAF VISION FUND</i>	1,300,000	0.2600
25.	CIMB ISLAMIC NOMINEES (TEMPATAN) SDN. BHD. <i>CIMB ISLAMIC TRUSTEE BERHAD FOR PMB-AN-NUR WAQF INCOME FUND</i>	1,275,000	0.2550
26.	HSBC NOMINEES (TEMPATAN) SDN. BHD. <i>HSBC (M) TRUSTEE BHD FOR MANULIFE INVESTMENT SHARIAH PROGRESS FUND</i>	1,133,400	0.2267
27.	KENANGA NOMINEES (TEMPATAN) SDN. BHD. <i>ONE IFC HOTEL SDN. BHD.</i>	1,062,900	0.2126
28.	BIMSEC NOMINEES (TEMPATAN) SDN. BHD. <i>PLEDGED SECURITIES ACCOUNT FOR SENTOSA JAYA CAPITAL SDN. BHD. (MGNM83401)</i>	1,050,000	0.2100
29.	UNIVERSAL TRUSTEE (MALAYSIA) BERHAD <i>KAF DANA ADIB</i>	1,000,000	0.2000
30.	CIMB GROUP NOMINEES (TEMPATAN) SDN. BHD. <i>EXEMPT AN FOR PETROLIAM NASIONAL BERHAD (ACF-AFFIN-EQ)</i>	940,800	0.1882
		440,256,100	88.0512

NOTICE OF SECOND ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN THAT the Second Annual General Meeting of WASCO GREENERGY BERHAD ("the Company") will be held at Wildrice Ballroom, Level 9, St. Giles Boulevard, The Boulevard, Mid Valley City, Lingkaran Syed Putra, 59200 Kuala Lumpur, W.P. Kuala Lumpur, Malaysia on Friday, 15 May 2026 at 2.30 p.m. for the following purposes:

AGENDA

As Ordinary Business

- | | | |
|----|---|-----------------------|
| 1. | To receive the Audited Financial Statements of the Company and the Group for the financial year ended 31 December 2025 and the Reports of the Directors and Auditors thereon. | |
| 2. | To approve the Directors' Fees payable on a quarterly basis to the Non-Executive Directors of the Company of up to the amount of RM490,000.00 for the financial year ending 31 December 2026. | Ordinary Resolution 1 |
| 3. | To approve the Directors' Meeting Allowances of up to an amount of RM124,000.00 payable to the Non-Executive Directors for the financial year ending 31 December 2026. | Ordinary Resolution 2 |
| 4. | To re-elect Ramanathan A/L P.R. Singaram who retires pursuant to Clause 114 of the Company's Constitution. | Ordinary Resolution 3 |
| 5. | To re-elect the following Directors who retire pursuant to Clause 121 of the Company's Constitution: | |
| | (i) Halim Bin Haji Din | Ordinary Resolution 4 |
| | (ii) Ng Ing Peng | Ordinary Resolution 5 |
| | (iii) Roslina Binti Abdul Rahman | Ordinary Resolution 6 |
| 6. | To re-appoint PricewaterhouseCoopers PLT as Auditors of the Company for the ensuing year and to authorise the Directors to fix their remuneration. | Ordinary Resolution 7 |

As Special Business

To consider, and if thought fit, to pass the following Ordinary Resolution, with or without modifications thereto:

- | | | |
|----|--|-----------------------|
| 7. | Ordinary Resolution
Proposed Authority to Purchase its Own Shares by the Company of up to ten per cent (10%) of the total number of issued shares | Ordinary Resolution 8 |
|----|--|-----------------------|

"THAT subject to the provisions of the Companies Act 2016 ("the Act"), the Company's Constitution, the Main Market Listing Requirements ("MMLR") of Bursa Malaysia Securities Berhad ("Bursa Securities") and any other applicable laws, rules, orders, requirements, regulations and guidelines for the time being in force, the Company be and is hereby authorised, to the fullest extent permitted by law, to purchase the Company's own ordinary shares ("Wasco Greenergy Shares") in total number of issued shares through Bursa Securities at any time and upon such terms and conditions and for such purposes as the Directors of the Company may, in their discretion deem fit, subject to the following:

- | | |
|-----|--|
| (i) | the maximum number of Wasco Greenergy Shares which may be purchased and/or held by the Company shall be 10% (ten per centum) of the total number of issued shares of the Company for the time being; |
|-----|--|

NOTICE OF SECOND ANNUAL GENERAL MEETING

- (ii) the maximum fund to be allocated by the Company for the purpose of purchasing the Wasco Greenergy Shares shall not exceed the retained profits of the Company based on the latest audited financial statements and/or the latest management accounts (where applicable) available at the time of the purchase;
- (iii) the authority conferred by this resolution will be effective immediately upon the passing of this resolution and will continue to be in force until:
 - (a) the conclusion of the next Annual General Meeting ("AGM") of the Company, at which time the authority shall lapse, unless by ordinary resolution passed at the meeting, the authority is renewed, either unconditionally or subject to conditions;
 - (b) the expiration of the period within which the next AGM of the Company after that date is required by law to be held; or
 - (c) revoked or varied by an ordinary resolution passed by the shareholders of the Company at a general meeting;

whichever is earlier but not so as to prejudice the completion of the purchase(s) of Wasco Greenergy Shares made by the Company before the aforesaid expiry date and, in any event, in accordance with the provisions of the MMLR of Bursa Securities or any other relevant authorities;

- (iv) upon completion of the purchase(s) of the Wasco Greenergy Shares by the Company, the Directors of the Company be hereby authorised to deal with the Wasco Greenergy Shares in accordance with the MMLR of Bursa Securities and the Act.

AND THAT the Directors of the Company be and are hereby authorised to take all such steps that are necessary or expedient and/or appropriate to implement, finalise and to give full effect to the purchase(s) of Wasco Greenergy Shares with full power to assent to any conditions, variations, and/or amendments that may be imposed by the relevant authorities."

8. To transact any other business that may be transacted at an Annual General Meeting of which due notice shall have been given in accordance with the Companies Act 2016 and the Company's Constitution.

FURTHER NOTICE IS HEREBY GIVEN THAT for the purpose of determining a member who shall be entitled to attend this Second Annual General Meeting, the Company shall be requesting Bursa Malaysia Depository Sdn. Bhd., in accordance with Clause 87 of the Company's Constitution and Section 34(1) of the Securities Industry (Central Depositories) Act 1991, to issue a Record of Depositors as at 8 May 2026 ("General Meeting Record of Depositors"). Only a Depositor whose name appears on the General Meeting Record of Depositors shall be regarded as a member entitled to attend, speak and vote at the Second Annual General Meeting or appoint proxy(ies) to attend, speak and vote on his/her behalf.

BY ORDER OF THE BOARD

REBECCA KONG SAY TSUI (MAICSA 7039304) (SSM PC No. 202008001003)
YENG SHI MEI (MAICSA 7059759) (SSM PC No. 202008001282)
 Company Secretaries

Selangor Darul Ehsan
 16 April 2026

NOTICE OF SECOND ANNUAL GENERAL MEETING

Notes:

1. A proxy may but need not be a Member of the Company. If a Member appoints more than one proxy, the appointments shall be invalid unless the Member specifies the proportion of the Member's shareholdings to be represented by each proxy.
2. Where a Member of the Company is an exempt authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991 ("SICDA") which holds ordinary shares in the Company for multiple beneficial owners in one securities account ("omnibus account"), there is no limit to the number of proxies which the exempt authorised nominee may appoint in respect of each omnibus account it holds.
3. Where a Member of the Company is an authorised nominee as defined under SICDA, it may appoint at least one (1) proxy in respect of each securities account it holds with ordinary shares of the Company standing to the credit of the said securities account.
4. If the appointer is a corporation, the proxy form must be executed under its common seal or under the hand of its officer or attorney duly authorised in writing.
5. A Member registered in the Record of Depositors as at 8 May 2026 who is entitled to attend, speak and vote at the Second Annual General Meeting ("2nd AGM") may appoint the Chairman of the meeting as his/her proxy.
6. In accordance with Section 334 of the Companies Act 2016, the instrument appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority shall be deposited as follows, not less than forty-eight (48) hours before the time for holding the meeting or adjourned meeting at which the person named in the instrument proposes to vote, or, in the case of a poll, not less than twenty-four (24) hours before the time appointed for the taking of the poll at the 2nd AGM. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolutions set out in this notice are required to be voted by poll.

(a) Deposit Hardcopy of Proxy Form

To the Company's Share Registrar office at Tricor Investor & Issuing House Services Sdn. Bhd., Unit 32-01, Level 32, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, W.P. Kuala Lumpur, Malaysia or alternatively, the drop-in box located at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, W.P. Kuala Lumpur, Malaysia.

(b) Deposit of Proxy Form Electronically

The Proxy Form can be lodged electronically with the Company's Share Registrar via Vistra Share Registry and IPO (MY) portal ("The Portal") at <https://srmy.vistra.com>. Kindly refer to the Administrative Guide for the 2nd AGM on the procedures for electronic lodgement of Proxy Form via The Portal.

(c) The above Proxy Forms must be deposited accordingly latest by Thursday, 14 May 2026 at 2.30 p.m.

(d) By submitting the duly executed Proxy Form, the Member of the Company and his/her proxy(ies) do hereby give consent to the Company (and/or its agents/ service providers) to collect, use and disclose the personal data therein for the purpose of the 2nd AGM and any adjournment thereof in accordance with the Personal Data Protection Act 2010.

NOTICE OF SECOND ANNUAL GENERAL MEETING

Explanatory Notes on Ordinary Business

1. Audited Financial Statements of the Company and the Group for the financial year ended 31 December 2025 and the Reports of the Directors and Auditors thereon

The Audited Financial Statements of the Company and the Group for the financial year ended 31 December 2025 are to be laid at the 2nd AGM in accordance with Section 340(1)(a) of the Companies Act 2016 for discussion purpose only and do not require shareholders' approval.

2. Ordinary Resolution 1 – Directors' Fees up to the amount of RM490,000.00 payable on a quarterly basis to the Non-Executive Directors for the financial year ending 31 December 2026

The proposed Ordinary Resolution 1, if passed, will give authority to the Company to pay the Directors' Fees of up to the amount of RM490,000.00 on a quarterly basis to the Non-Executive Directors of the Company in respect of the financial year ending 31 December 2026. The Board is of the view that it is just and equitable to pay Directors' Fees on a quarterly basis after the end of each quarter, particularly after the Non-Executive Directors have discharged their fiduciary duties and responsibilities for the said quarter.

The Directors' Fees for the Non-Executive Directors is based on the fee structure below:

	Fees (RM/per annum)	
	Non-Executive Chairman	Member
Board	110,000	90,000
Board Committees:		
(a) Audit Committee	20,000	10,000
(b) Nomination and Remuneration Committee	15,000	10,000
(c) Board Sustainability Committee	15,000	10,000

3. Ordinary Resolution 2 – Directors' Meeting Allowances for the financial year ending 31 December 2026

The proposed Ordinary Resolution 2, if passed, will give authority to the Company to pay Directors' Meeting Allowances of up to the amount of RM124,000.00 on a quarterly basis to the Non-Executive Directors of the Company or as and when meeting(s) are held in respect of the financial year ending 31 December 2026. The said amount caters for the number of Board and Board Committees' Meetings scheduled/proposed to be held during the financial year ending 31 December 2026.

The total amount of Directors' Meeting Allowances paid to the Non-Executive Directors for the financial year ended 31 December 2025 is as set out on page 142 of the Annual Report 2025.

4. Ordinary Resolution 3 – Re-election of Ramanathan A/L P.R. Singaram who retires pursuant to Clause 114 of the Company's Constitution

Pursuant to Clause 114 of the Company's Constitution, one-third (1/3) of the Directors for the time being or the number nearest to one-third (1/3), shall retire from office at the Annual General Meeting. PROVIDED ALWAYS that all Directors shall retire from office at least once in every three (3) years but shall be eligible for re-election.

Hence, Ramanathan A/L P.R. Singaram is due to retire at the 2nd AGM and being eligible, has offered himself for re-election.

NOTICE OF SECOND ANNUAL GENERAL MEETING

The Board supports the re-election of Ramanathan A/L P.R. Singaram who retires pursuant to Clause 114 of the Company's Constitution.

5. Ordinary Resolutions 4 to 6 – Re-election of Halim Bin Haji Din, Ng Ing Peng and Roslina Binti Abdul Rahman who retire pursuant to Clause 121 of the Company's Constitution

Pursuant to Clause 121 of the Company's Constitution, any Director appointed either to fill a casual vacancy or as an additional Director to the existing Directors shall hold office only until the next Annual General Meeting, and shall then be eligible for re-election but shall not be taken into account in determining the number of Directors who are to retire by rotation at that meeting.

Hence, Halim Bin Haji Din, Ng Ing Peng and Roslina Binti Abdul Rahman, the newly appointed Directors of the Company are due to retire at the 2nd AGM and being eligible, have offered themselves for re-election.

The Board supports the re-election of Halim Bin Haji Din, Ng Ing Peng and Roslina Binti Abdul Rahman who retire pursuant to Clause 121 of the Company's Constitution.

6. Ordinary Resolution 7 – Re-appointment of Auditors

The Audit Committee ("AC") had at its meeting held on 11 February 2026 assessed the suitability and independence of the External Auditors and recommended the re-appointment of PricewaterhouseCoopers PLT as External Auditors of the Company for the financial year ending 31 December 2026.

The Board has reviewed the recommendation of the AC and recommended the same to be tabled to the shareholders for approval at the 2nd AGM of the Company.

Explanatory Notes on Special Business

7. Ordinary Resolution 8 – Proposed Authority to Purchase its Own Shares by the Company of up to ten per cent (10%) by the Company of the total number of issued shares

The proposed Ordinary Resolution 8, if passed, will give authority to the Board to purchase its own shares through Bursa Securities of up to ten per centum (10%) of the total number of issued shares. Please refer to the Share Buy-Back Statement dated 16 April 2026 for further information, which is available on the Company's website at www.wascogreenergy.com.

**STATEMENT ACCOMPANYING NOTICE OF 2ND ANNUAL GENERAL MEETING
(PURSUANT TO PARAGRAPH 8.27(2) OF THE MAIN MARKET LISTING REQUIREMENTS OF BURSA MALAYSIA SECURITIES BERHAD)**

There are no individuals who are standing for election as director (excluding directors standing for re-election) as per Appendix 8A of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.



WASCO GREENERGY BERHAD
REGISTRATION NO.: 202301048372 (1542286-P)
(INCORPORATED IN MALAYSIA)

Number of Ordinary Shares held

PROXY FORM

I/We, _____
(Full name in block letters)

NRIC or Company No. _____ CDS Account No. _____
(Full address)

of _____

being a *member/members of WASCO GREENERGY BERHAD [Registration No. 202301048372 (1542286-P)] hereby appoint _____

(Full name in block letters)

NRIC No. _____ of _____

(Full address)

or failing *him/her, _____ NRIC No. _____
(Full name in block letters)

of _____
(Full address)

or failing *him/her, the Chairman of the Meeting as *my/our proxy to vote for *me/us on *my/our behalf, at the Second Annual General Meeting ("2nd AGM") of the Company to be held at Wildrice Ballroom, Level 9, St. Giles Boulevard, The Boulevard, Mid Valley City, Lingkaran Syed Putra, 59200 Kuala Lumpur, W.P. Kuala Lumpur, Malaysia on **Friday, 15 May 2026 at 2.30 p.m.** and at any adjournment thereof in the manner indicated below.

		For	Against
Ordinary Resolution 1	To approve the payment of Directors' Fees on a quarterly basis to the Non-Executive Directors of the Company of up to the amount of RM490,000.00 for the financial year ending 31 December 2026		
Ordinary Resolution 2	To approve the Directors' Meeting Allowances of up to an amount of RM124,000.00 payable to the Non-Executive Directors for the financial year ending 31 December 2026		
Ordinary Resolution 3	To re-elect Ramanathan A/L P.R. Singaram who retires pursuant to Clause 114 of the Company's Constitution		
Ordinary Resolution 4	To re-elect Halim Bin Haji Din who retires pursuant to Clause 121 of the Company's Constitution		
Ordinary Resolution 5	To re-elect Ng Ing Peng who retires pursuant to Clause 121 of the Company's Constitution		
Ordinary Resolution 6	To re-elect Roslina Binti Abdul Rahman who retires pursuant to Clause 121 of the Company's Constitution		
Ordinary Resolution 7	To re-appoint PricewaterhouseCoopers PLT as Auditors of the Company for the ensuing year and to authorise the Directors to fix their remuneration		
Ordinary Resolution 8	To approve the Proposed Authority to purchase its own shares by the Company of up to ten per cent (10%) of the total number of issued shares		

(Please indicate with an "x" in the space provided above as to how you wish to cast your vote. If no specific direction as to voting is given, the proxy will vote or abstain from voting at his/her discretion.)

* Strike out whichever not applicable

Signature of Member

Signed this: _____ day of _____ 2026

Contact No.: _____

Email Address: _____

Company Seal to be affixed here
if Member is a Corporation

Notes:

1. A proxy may but need not be a Member of the Company. If a Member appoints more than one proxy, the appointments shall be invalid unless the Member specifies the proportion of the Member's shareholdings to be represented by each proxy.
2. Where a Member of the Company is an exempt authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991 ("SICDA") which holds ordinary shares in the Company for multiple beneficial owners in one securities account ("omnibus account"), there is no limit to the number of proxies which the exempt authorised nominee may appoint in respect of each omnibus account it holds.
3. Where a Member of the Company is an authorised nominee as defined under SICDA, it may appoint at least one (1) proxy in respect of each securities account it holds with ordinary shares of the Company standing to the credit of the said securities account.
4. If the appointer is a corporation, the proxy form must be executed under its common seal or under the hand of its officer or attorney duly authorised in writing.
5. A Member registered in the Record of Depositors as at 8 May 2026 who is entitled to attend, speak and vote at the Second Annual General Meeting ("2nd AGM") may appoint the Chairman of the meeting as his/her proxy.
6. In accordance with Section 334 of the Companies Act 2016, the instrument appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notorially certified copy of that power or authority shall be deposited as follows, not less than forty-eight (48) hours before the time for holding the meeting or adjourned meeting at which the person named in the instrument proposes to vote, or, in the case of a poll, not less than twenty-four (24) hours before the time appointed for the taking of the poll at the 2nd AGM. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolutions set out in this notice are required to be voted by poll.

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AFFIX
STAMP

The Share Registrar

WASCO GREENERGY BERHAD

REGISTRATION NO.: 202301048372 (1542286-P)

Tricor Investor & Issuing House Services Sdn. Bhd.

Unit 32-01, Level 32, Tower A, Vertical Business Suite, Avenue 3,
Bangsar South, No. 8, Jalan Kerinchi,
59200 Kuala Lumpur, W.P. Kuala Lumpur, Malaysia

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(a) Deposit Hardcopy of Proxy Form

To the Company's Share Registrar office at Tricor Investor & Issuing House Services Sdn. Bhd., Unit 32-01, Level 32, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, W.P. Kuala Lumpur, Malaysia or alternatively, the drop-in box located at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, W.P. Kuala Lumpur, Malaysia.

(b) Deposit of Proxy Form Electronically

The Proxy Form can be lodged electronically with the Company's Share Registrar via Vistra Share Registry and IPO (MY) portal ("The Portal") at <https://srmy.vistra.com>. Kindly refer to the Administrative Guide for the 2nd AGM on the procedures for electronic lodgement of Proxy Form via The Portal.

(c) The above Proxy Forms must be deposited accordingly latest by **Thursday, 14 May 2026 at 2.30 p.m.**

(d) By submitting the duly executed Proxy Form, the Member of the Company and his/her proxy(ies) do hereby give consent to the Company (and/or its agents/ service providers) to collect, use and disclose the personal data therein for the purpose of the 2nd AGM and any adjournment thereof in accordance with the Personal Data Protection Act 2010.



WASCO GREENENERGY BERHAD

(Registration No. 202301048372 (1542286-P))

Lot 1929, Jalan Bukit Kemuning,
Seksyen 32, 40460 Shah Alam,
Selangor Darul Ehsan, Malaysia
Tel : +603 - 5525 7555 Fax : +603 - 5525 7599

www.wascogreenergy.com